



Jogesh Chandra Chaudhuri Law College Students' Union

30, Prince Anwar Shah Road, Kolkata, 70003

Email: jcclcsu.kolkata@gmail.com Phone: 9831948661 / 9831464712

- *By the Students*
- *Of the Students*
- *For the Students*

2ND SEMESTER INDIAN CONTRACT ACT, 1872 NOTES

INITIATED BY

ALMINHAZ KARIM
(COVID 19 CONVENOR)

ARRANGED BY	
ABHRAJIT ROY CHOWDHURY	ANKAN DAS
CO CONVENOR <i>E – ACADEMICS COMMITTEE</i>	CO CONVENOR <i>E – ACADEMICS COMMITTEE</i>

PUBLISHED BY	
ARKA KUMAR NAG	NEIL BASU
CHAIRPERSON	GENERAL SECRETARY



Celebrating 50 Years of Excellence

#JCCLCSU 2020

#JCCLCTMC PUNIT 2020

COVID-19 COMMITTEE

#STUDENTS' WELFARE, RELATION & AID FUND SECRETARIAT

#LEGAL AID & AWARENESS SECRETARIAT

#ACADEMIC AFFAIRS SECRETARIAT

Indian Contract Act, 1872

Q. Explain contract of indemnity with illustration. What are the rights of an indemnity holder when sued?

In the old English law, Indemnity was defined as a promise to save a person harmless from the consequences of an act. Such a promise can be express or implied from the circumstances of the case. This view was illustrated in the case of **Adamson vs. Jarvis 1872**. In this case, the plaintiff, an auctioneer, sold certain goods upon the instructions of a person. It turned out that the goods did not belong to the person and the true owner held the auctioneer liable for the goods. The auctioneer, in turn, sued the defendant for indemnity for the loss suffered by him by acting on his instructions. It was held that since the auctioneer acted on the instructions of the defendant, he was entitled to assume that if, what he did was wrongful, he would be indemnified by the defendant.

This gave a very broad scope to the meaning of Indemnity and it included promise of indemnity due to loss caused by any cause whatsoever. Thus, any type of insurance except life insurance was a contract of Indemnity. However, *Indian contract Act 1872* makes the scope narrower by defining the contract of indemnity as follows:

Section 124 - A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself or by the conduct of any other person is a "contract of Indemnity".

Illustration - A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of Rs 200. This is a contract of indemnity.

There is a contract between X and Y according to which X has to Sell a tape recorder (which is selected) to Y after three months. On the next day of their contract Z has come to X and has insisted on selling the same tape recorder to him (Z). Here Z is promising to compensate X for any loss faced by X, due to selling the tape recorder to Z. X has agreed. Now the contract which has got formed between X and Z is called indemnity contract, where Z is indemnifier and X is indemnity holder.

Rights of the indemnity holder

Section 125, defines the rights of an indemnity holder. These are as follows –

The promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor –

- i. **Right of recovering Damages** - all damages that he is compelled to pay in a suit in respect of any matter to which the promise of indemnity applies.

For example, if A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a particular transaction. If C does institute legal proceeding against B in that matter and B pays damages to C, A will be liable to make good all the damages B had to pay in the case.

- ii. **Right of recovering Costs** -all costs that he is compelled to pay in any such suit if, in bringing or defending it, he did not contravene the orders of the promisor and has acted as it would have been prudent for him to act in the absence of the contract of indemnity, or if the promisor authorized him in bringing or defending the suit.

In the case of **ADAMSON vs. JARVIS [1827] 4 BING 66**, Adamson was entitled to recover the money he had to pay to the true owner of the cattle as well as any expenses incurred by him to get a legal counsel, etc.

- iii. **Right of recovering Sums** -all sums which he may have paid under the terms of a compromise in any such suite, if the compromise was not contrary to the orders of the promisor and was one which would have been prudent for the promisee to make in the absence of the contract of indemnity, or if the promisor authorized him to compromise the suit.

As per this section, the rights of the indemnity holder are not absolute or unfettered. He must act within the authority given to him by the promisor and must not contravene the orders of the promisor. Further, he must act with normal intelligence, caution, and care with which he would act if there were no contract of indemnity.

At the same time, if he has followed all the conditions of the contract, he is entitled to the benefits. This was held in the case of **UnitedCommercial Bank vs. Bank of India AIR 1981**. In this case, Supreme Court held that the courts should not grant injunctions restraining the performance of contractual obligations arising out of a letter of credit or bank guarantee if the terms of the conditions have been fulfilled. It held that such LoCs or bank guarantees impose on the banker an absolute obligation to pay.

In the case of **Mohit Kumar Saha vs. New India Assurance Co AIR 1997, Calcutta HC** held that the indemnifier must pay the full amount of the value of the vehicle lost to theft as given by the surveyor. Any settlement at lesser value is arbitrary and unfair and violates *article 14 of the constitution*.

Q. When does the liability of an indemnifier commence? Is contract of insurance covered by contract of indemnity?

Commencement of liability: In general, as per the definition given in *section 124*, it looks like an indemnity holder cannot hold the indemnifier liable until he has suffered an actual loss. This is a great disadvantage to the indemnity holder in cases where the loss is imminent and he is not in the position to bear the loss. In the case of **GajananMoreshwarvsMoreshwarMadan, AIR 1942**, Bombay high court observed that the contract of indemnity held very little value if the indemnity holder could not enforce his indemnity until he actually paid the loss. If a suit was filed against him, he had to wait till the judgment and pay the damages upfront before suing the indemnifier. He may not be able to pay the judgment and could not sue the indemnifier. Thus, it was held that if his liability has become absolute, he was entitled to get the indemnifier to pay the amount.

Osman Jamal & Sons Ltd. v GopalPurshottam

1928 I.L.R. 56 CAL 262

In this case a company acted as a commission agent for another firm and purchased goods on behalf of the firm. The firm failed to take the goods. The supplier of the goods was entitled to recover from the firm damages relating to breach of contract. However, before the claim was paid the company went into liquidation. The court held that the official liquidator was entitled to recover the damages from the firm though the company had not paid any amount to the supplier.

CONTRACT OF INSURANCE AND CONTRACT OF INDEMNITY

A contract of insurance may be defined as follows” a contract by which a person promises to indemnify other, for a consideration called premium, against losses that might happen as a result of the perils or events against which insurance is taken.”

Thus a contract by which the assurer promises to indemnify the insured in case of the happening of the event against which the insurance was taken. It is a normal contract. All the general provisions apply to it. Thus the requirement of section 10 of the Indian contract act also applies and is to be fulfilled.

Indemnity means “when a person promises to save the other from loss caused from the conduct of promisor himself or by the conduct of any other person”. Though the definition is itself not complete in the Indian Contract Act. The courts have held that the definition in English law is to be followed. This was held in the case of **GAJANAN MORESHWAR V. MORESHWAR MADAN**.

The English law defines the indemnity as” a contract to save another harmless from loss caused as a result of transactions entered into at the instance of the promisor.” Thus the law covers all type of indemnifications.

Indemnity is a type of contingent contract. It also depends on happening of events. The contract of insurance is also a contract that is contingent to the happening of an event. Insurance is a contingent contract but is not a wager.

The contract of insurance is indeed a contract of indemnity. As the following is noticed in both the contracts:

- 1) Both are contingent on happening of an event.
- 2) Both are special contracts, but the general principal applies to both.
- 3) A promise to compensate is common.
- 4) Consideration must be there.

Q. Define Contract of guarantee and discuss when the surety becomes liable under the contract and when it is discharged from liability?

Section 126 of *Indian Contract Act 1872* defines a contract of guarantee as follows:

"A contract of guarantee is a contract to perform the promise, or to discharge the liabilities of a third person in case of his default. The person who gives the guarantee is called Surety, the person in respect of whose default the guarantee is given is called Principal Debtor, and the person to whom the guarantee is given is called Creditor. A Guarantee may be either oral or written."

For example, when A promises to a shopkeeper C that A will pay for the items being bought by B if B does not pay, this is a contract of guarantee. In this case, if B fails to pay, C can sue A to recover the balance. The same was held in the case of **Birkmyr vs Darnell 1704**, where the court held that when two persons come to a shop, one person buys, and to give him credit, the other person promises, "If he does not pay, I will", this type of a collateral undertaking to be liable for the default of another is called a contract of guarantee.

A contract of guarantee has the following essential elements -

1. Existence of Creditor, Surety, and Principal Debtor - The economic function of a guarantee is to enable a credit-less person to get a loan or employment or something else. Thus, there must exist a principal debtor for a recoverable debt for which the surety is liable in case of the default of the principal debtor.

In the case of **Swan vs. Bank of Scotland 1836**, it was held that a contract of guarantee is a tripartite agreement between the creditor, the principal debtor, and the surety.

2. Distinct promise of surety - There must be a distinct promise by the surety to be answerable for the liability of the Principal Debtor.

3. Liability must be legally enforceable - Only if the liability of the principal debtor is legally enforceable, the surety can be made liable. For example, a surety cannot be made liable for a debt barred by statute of limitation.

4. Consideration - As with any valid contract, the contract of guarantee also must have a consideration. The consideration in such contract is nothing but anything done or the promise to do something for the benefit of the principal debtor. **Section 127** clarifies this as follows:

"Anything done or any promise made for the benefit of the principal debtor may be sufficient consideration to the surety for giving the guarantee."

Illustrations:

1. A agrees to sell to B certain goods if C guarantees the payment of the price of the goods. C promises to guarantee the payment in consideration of A's promise to deliver goods to B. This is a sufficient consideration for C's promise.

2. A sells and delivers goods to B. Later on, C, without any consideration, promises to pay A if B fails to pay. The agreement is void for lack of consideration.

However, there is no uniformity on the issue of past consideration. In the case of **Allahabad Bank vs S M Engineering Industries 1992 Cal HC**, the bank was not allowed to sue the surety in absence of any advance payment made after the date of guarantee. But in the case of **Union Bank of India vs A P Bhonsle 1991 Mah HC**, past debts were also held to be recoverable under the wide language of this section. In general, if the principal debtor is benefitted as a result of the guarantee, it is sufficient consideration for the sustenance of the guarantee.

5. It should be without misrepresentation or concealment - **Section 142** specifies that a guarantee obtained by misrepresenting facts that are material to the agreement is invalid, and **section 143** specifies that a guarantee obtained by concealing a material fact is invalid as well.

Illustrations -

1. A appoints B for collecting bills. B fails to account for some of the bills. A asks B to get a guarantor for further employment. C guarantees B's conduct but C is not made aware of B previous mis-accounting by A. B, afterwards, defaults. C cannot be held liable.

2. A promises to sell Iron to B if C guarantees payment. C guarantees payment however, C is not made aware of the fact that A and B had contracted that B will pay 5 Rs higher than the market prices. B defaults. C cannot be held liable.

In the case of **London General Omnibus vs Holloway 1912**, a person was invited to guarantee an employee, who was previously dismissed for dishonesty by the same employer. This fact was not told to the surety. Later on, the employee embezzled funds but the surety was not held liable.

When Surety Becomes Liable

As per **section 128**, the liability of a surety is co-extensive with that of the principal debtor, unless it is otherwise provided in the contract.

Illustration - A guarantees the payment of a bill by B to C. The bill becomes due and B fails to pay. A is liable to C not only for the amount of the bill but also for the interest.

This basically means that although the liability of the surety is co-extensive with that of the principal debtor, he may place a limit on it in the contract. Co-extensive implies the maximum extent possible. He is liable for the whole of the amount of the debt or the promises. However, when part of a debt was recovered by disposing off certain goods, the liability of the surety is also reduced by the same amount. This was held in the case of **Harigopal Agarwal vs State Bank of India AIR 1956**.

The surety can also place conditions on his guarantee. **Section 144** says that where a person gives guarantee upon a contract that the creditor shall not act upon it until another person has joined it as co-surety, the guarantee is not valid if the co-surety does not join. In the case of **National Provincial Bank of England vs Brakenbury 1906**, the defendant signed a guarantee which was supposed to be signed by three other co-sureties. One of them did not sign and so the defendant was not held liable.

Similarly, a surety may specify in the contract that his liability cannot exceed a certain amount.

However, where the liability is unconditional, the court cannot introduce any conditions. Thus, in the case of **Bank of Bihar Ltd. vs. Damodar Prasad AIR 1969, SC** overruled trial court's and high court's order that the creditor must first exhaust all remedies against the principal debtor before suing the surety.

Discharge of Surety

A surety is said to be discharged from liability when his liability comes to an end. Indian Contract Act 1872 specifies the following conditions in which a surety is discharged of his liability -

1. **Section 130- By a notice of revocation** - Ordinarily a guarantee cannot be revoked if the liability has already been accrued. But Section 130 provides for revocation of continuing guarantee. For example, if A has stood surety for Rs 5, 00,000 home loan of B from a bank, and the money has been disbursed, A cannot revoke the guarantee, as the liability has accrued. Accordingly, where a guarantee is a continuing one and extends to a series of transactions, the surety as to future transactions may revoke it, by giving notice to the creditor. However, the surety shall remain liable for the acts already acted upon, i.e., prior to the notice of revocation.
2. **Section 131 - By death of surety** - In case of a continuing guarantee, the death of the surety, in the absence of any contract to the contrary, discharges him from liability as regards future transactions (i.e., transactions after his death). In other words, the surety's survivors or legal representatives would not be liable unless expressly mentioned in the contract.
3. **Section 133 - By variance in terms of contract** - A variance made without the consent of the surety in terms of the contract between the principal debtor and the creditor, discharges the surety as to the transactions after the variance.

Illustrations -

A becomes a surety to C for B's conduct as manager in C's bank. Afterwards, B and C contract without A's consent that B's salary shall be raised and that B shall be liable for 1/4th of the losses on overdrafts. B allows a customer to overdraw and the bank loses money. A is not liable for the loss.

A guarantees C against the misconduct of B in an office to which B is appointed by C. The conditions of employment are defined in an act of legislature. In a subsequent act, the nature of the office is materially altered. B misconducts. A discharged by the change from the future liability of his guarantee even though B's misconduct is on duty that is not affected by the act.

4. **Section 134 - By discharge of principal debtor** - The surety is discharged by any contract between the creditor and the principal debtor by which the principal debtor is discharged; or by any action of the creditor the legal consequence of which is the discharge of the principal debtor.

Illustrations

A gives a guarantee to C for goods to be delivered to B. Later on, B contracts with C to assign his property to C in lieu of the debt. B is discharged of his liability and A is discharged of his liability.

A contracts with B to build a house for B. B is to supply timber. C guarantees A's performance. B fails to supply timber. C is discharged of his liability.

If the principal debtor is released by a compromise with the creditor, the surety is discharged but if the principal debtor is discharged by the operation of insolvency laws, the surety is not discharged. This was held in the case of **Maharashtra SEB vs. Official Liquidator 1982**.

5. **Section 135 - By composition, extension of time, or promise not to sue** - A contract between the principal debtor and the creditor by which the creditor makes a composition with, or promises to give time to, or promises to not sue the principal debtor, discharges the surety unless the surety assents to such a contract.

It should be noted that as per **section 136**, if a contract is made by the creditor with a third person to give more time to the principal debtor, the surety is not discharged. However, in the case of **WandoorJupitor Chits vs K P Mathew AIR 1980**, it was held that the surety was not discharged when the period of limitation got extended due to acknowledgement of debt by the principal debtor.

Further, as per **section 137**, mere forbearance to sue or to not make use of any remedy that is available to the creditor against the principal debtor, does not automatically discharge the surety.

Illustration -

B owes C a debt guaranteed by A. The debt becomes payable. However, C does not sue B for a year. This does not discharge A from his surety ship.

It must be noted that forbearing to sue until the expiry of the period of limitation has the legal consequence of discharge of the principal debtor and thus as per **section 134**, will cause the surety to be discharged as well. If section 134 stood alone, this inference was correct. However, **section 137** explicitly says that mere forbearance to sue does not discharge the surety. This contradiction was removed in the case of **Mahanth Singh vs U B Yi** by Privy Council. It held that failure to sue the principal debtor until recovery is banned by period of limitation does not discharge the surety.

6. **Section 139 - By impairing surety's remedy** - If the creditor does any act that is inconsistent with the rights of the surety or omits to do an act which his duty to surety requires him to do, and the

eventual remedy of the surety himself against the principal debtor is thereby impaired, the surety is discharged.

Illustrations -

C contracts with B to build a ship the payment of which is to be made in installments at various stages of completion. A guarantees C's performance. B prepays last two installments. A is discharged of his liability.

A lends money to B with C as surety. A also gets as a security the mortgage to B's furniture. B defaults and A sells his furniture. However, due to A's carelessness very small amount is received by sale of the furniture. C is discharged of the liability.

In the case of **State Bank of Saurashtra v. Chitranjan Ranganath Raja 1980**, the bank failed to properly take care of the contents of a godown pledged to it against a loan and the contents were lost. The court held that the surety was not liable for the amount of the goods lost.

Creditor's duty is not only to take care of the security well but also to realize its proper value. Also, before disposing of the security, the surety must be informed on the account of natural justice so that he can have the option to take over the security by paying off the debt. In the case of **Hiranyapravasu v. Orissa State Financial Corp AIR 1995**, it was held that if such a notice of disposing off of the security is not given, the surety cannot be held liable for the shortfall.

However, when the goods are merely hypothecated and are in the custody of the debtor, and if their loss is not because of the creditor, the surety is not discharged of his liability.

Q. What are the points of similarities as well as dissimilarities between a contract of indemnity and a contract of guarantee?

Guarantees and indemnities have numerous similar attributes. By and large likewise, similar obligations and rights emerge between the parties. This will have impact particularly throughout the time of looking to authorize the agreement. Contracts of indemnity and contracts of guarantee impart certain central commonality. In every contract, one party consents to pay in the interest of another. Also each of these categories of contracts is utilized as a safeguard against misfortunes by people and organizations. One more point of similarity worth mentioning is that they cannot be used to make unjust enrichments. In a comparative study between **Punjab National Bank Ltd. v. Bikram Cotton Mills** and **Anr and Gajan Moreshwar vs. Moreshwar Madan**, it can be seen, that both guarantee and indemnity are used to compensate the creditor and indemnity holder respectively and the principal debtor and surety in the Punjab National Bank case as well as the indemnifier had consented to pay to make good of the debt.

Difference

Contract of Indemnity (Section 124)	Contract of Guarantee (Section 126)

It is a bipartite agreement between the indemnifier and indemnityholder.	It is a tripartite agreement between the Creditor, Principal Debtor, and Surety.
Liability of the indemnifier is contingent upon the loss.	Liability of the surety is not contingent upon any loss.
Liability of the indemnifier is primary to the contract.	Liability of the surety is co-extensive with that of the principal debtor although it remains in suspended animation until the principal debtor defaults. Thus, it is secondary to the contract and consequently if the principal debtor is not liable, the surety will also not be liable.
The undertaking in indemnity is original.	The undertaking in a guarantee is collateral to the original contract between the creditor and the principal debtor.
There is only one contract in a contract of indemnity - between the indemnifier and the indemnity holder.	There are three contracts in a contract of guarantee - an original contract between Creditor and Principal Debtor, a contract of guarantee between creditor and surety, and an implied contract of indemnity between the surety and the principal debtor.
The reason for a contract of indemnity is to make good on a loss if there is any.	The reason for a contract of guarantee is to enable a third person to get credit.
Once the indemnifier fulfills his liability, he does not get any right over any third party. He can only sue the indemnity-holder in his own name.	Once the guarantor fulfills his liability by paying any debt to the creditor, he steps into the shoes of the creditor and gets all the rights that the creditor had over the principal debtor.

Q. State the rights of surety against the (i) Creditor, (ii) Principle debtor, (iii) Co- Sureties

Rights of the Surety: A contract of guarantee being a contract, all rights that are available to the parties of a contract are available to a surety as well. The following are the rights specific to a contract of guarantee that are available to the surety.

Rights against principal debtor

- 1. Right of Subrogation:** As per **section 140**, where a guaranteed debt has become due or default of the principal debtor to perform a duty has taken place, the surety, upon payment or performance of all that he is liable for, is invested with all the rights which the creditor had against the principal debtor.

This means that the surety steps into the shoes of the creditor. Whatever rights the creditor had, are now available to the surety after paying the debt.

In the case of **Lampleigh Iron Ore Co Ltd, Re 1927**, the court has laid down that the surety will be entitled, to every remedy which the creditor has against the principal debtor; to enforce every security and all means of payment; to stand in place of the creditor to have the securities transferred in his name, though there was no stipulation for that; and to avail himself of all those securities against the debtor. This right of surety stands not merely upon contract but also upon natural justice.

In the case of **Kadamba Sugar Industries Pvt Ltd vs. Devru Ganapathi AIR 1993, Kar HC** held that surety is entitled to the benefits of the securities even if he is not aware of their existence.

In the case of **Mamata Ghose vs. United Industrial Bank AIR 1987, Cal HC** held that under the right of subrogation, the surety may get certain rights even before payment. In this case, the principal debtor was disposing off his personal properties one after another lest the surety, after paying the debt, seize them. The surety sought for temporary injunction, which was granted.

2. Right to Indemnity: As per **section 145**, in every contract of guarantee there is an implied promise by the principal debtor to indemnify the surety; and the surety is entitled to recover from the principal debtor whatever sum he has rightfully paid under the guarantee but no sums which he has paid wrong fully.

Illustrations -

B is indebted to C and A is surety for the debt. Upon default, C sues A. A defends the suit on reasonable grounds but is compelled to pay the amount. A is entitled to recover from B the cost as well as the principal debt.

In the same case above, if A did not have reasonable grounds for defense, A would still be entitled to recover principal debt from B but not any other costs.

A guarantees to C, to the extent of 2000 Rs, payment of rice to be supplied by C to B. C supplies rice to a less amount than 2000/- but obtains from A, a payment of 2000/- for the rice. A cannot recover from B more than the price of the rice actually supplied.

This right enables the surety to recover from the principal debtor any amount that he has paid rightfully. The concept of rightfully is illustrated in the case of **Chekkara Ponnammav A S Thammayya AIR 1983**. In this case, the principal debtor died after hire-purchasing four motor vehicles. The surety was sued and he paid over. The surety then sued the legal representatives of the principal debtor. The court required the surety to show how much amount was realized by selling the vehicles, which he could not show. Thus, it was held that the payment made by the surety was not proper.

Rights against creditor

1. Right to securities: As per **section 141**, a surety is entitled to the benefit of every security which the creditor has against the principal debtor at the time when the contract of suretyship is entered into whether the surety knows about the existence of such security or not; and if the creditor loses or without the consent of the surety parts with such security, the surety is discharged to the extent of the value of the security.

Illustrations -

C advances to B, his tenant, 2000/- on the guarantee of A. C also has a further security for 2000/- by a mortgage of B's furniture. C cancels the mortgage. B becomes insolvent and C sues A on his guarantee. A is discharged of his liability to the amount of the value of the furniture.

C, a creditor, whose advance to B is secured by a decree, also receives a guarantee from A. C afterwards takes B's goods in execution under the decree and then without the knowledge of A, withdraws the execution. A is discharged.

This section recognizes and incorporates the general rule of equity as expounded in the case of **Craythornevs. Swinburne 1807** that the surety is entitled to every remedy which the creditor has against the principal debtor including enforcement of every security.

The expression "security" in **section 141** means all rights which the creditor had against property at the date of the contract. This was held by the SC in the case of **State of MP vs. Kaluram AIR 1967**. In this case, the state had sold a lot of felled trees for a fixed price in four equal installments, the payment of which was guaranteed by the defendant. The contract further provided that if a default was made in the payment of an installment, the State would get the right to prevent further removal of timber and the sell the timber for the realization of the price. The buyer defaulted but the State still did not stop him from removing further timber. The surety was then sued for the loss but he was not held liable.

It is important to note that the right to securities arises only after the creditor is paid in full. If the surety has guaranteed only part of the debt, he cannot claim a proportional part of the securities after paying part of the debt. This was held in the case of **Goverdhan Das vs. Bank of Bengal 1891**.

2. Right of set off: If the creditor sues the surety, the surety may have the benefit of the set off, if any, that the principal debtor had against the creditor. He is entitled to use the defenses that the principal debtor has against the creditor. For example, if the creditor owes the principal debtor something, for which the principal debtor could have counter claimed, then the surety can also put up that counter claim.

Rights against co-sureties

1. Effect of releasing a surety: As per **section 138**, where there are co-sureties, a release by the creditor of one of them does not discharge the others; neither does it free the surety so released from his responsibility to the other sureties.

A creditor can release a co-surety at his will. However, as held in the case of **Sri Chand vs. Jagdish Prashad 1966**, the released co-surety is still liable to the others for contribution upon default.

2. Right to contribution: As per **section 146**, where two or more persons are co-sureties for the same debt jointly or severally, with or without the knowledge of each other, under same or different contract, in the absence of any contract to the contrary, they are liable to pay an equal share of the debt or any part of it that is unpaid by the principal debtor.

Illustrations -

A, B, and C are sureties to D for a sum of 3000Rs lent to E. He fails to pay. A, B, and C are liable to pay 1000Rs each.

A, B, and C are sureties to D for a sum of 1000Rs lent to E and there is a contract among A B and C that A and B will be liable for a quarter and C will be liable for half the amount upon E's default. He fails to pay. A and B are liable for 250Rs each and C is liable for 500Rs.

As per **section 147**, co-sureties who are bound in different sums are liable to pay equally as far as the limits of their respective obligations permit.

Illustrations -

A, B and C as sureties to D, enter into three several bonds, each in different penalty, namely A for 10000Rs, B for 20000 Rs, and C for 30000Rs with E. D makes a default on 30000Rs. All of them are liable for 10000Rs each.

A, B and C as sureties to D, enter into three several bonds, each in different penalty, namely A for 10000Rs, B for 20000 Rs, and C for 40000Rs with E. D makes a default on 40000Rs. A is liable for 10000Rs while B and C are liable for 15000Rs each.

A, B and C as sureties to D, enter into three several bonds, each in different penalty, namely A for Rs10000, B for Rs20000, and C for 40000Rs with E. D makes a default on 70000Rs. A, B and C are liable for the full amount of their bonds.

Q. Define “Continuing guarantee” with the help of an illustration. How can it be revoked?

Continuing Guarantee

As per **section 129**, a guarantee which extends to a series of transactions is called a continuing guarantee.

Illustrations -

1. A, in consideration that B will employ C for the collection of rents of B's zamindari, promises B to be responsible to the amount of 5000/- for due collection and payment by C of those rents. This is a continuing guarantee.

2. A guarantees payment to B, a tea-dealer, for any tea that C may buy from him from time to time to the amount of Rs 100. Afterwards, B supplies C tea for the amount of 200/- and C fails to pay. A's guarantee is a continuing guarantee and so A is liable for Rs 100.

3. A guarantees payment to B for 5 sacks of rice to be delivered by B to C over the period of one month. B delivers 5 sacks to C and C pays for it. Later on B delivers 4 more sacks but C fails to pay. A's guarantee is not a continuing guarantee and so he is not liable to pay for the 4 sacks.

Thus, it can be seen that a continuing guarantee is given to allow multiple transactions without having to create a new guarantee for each transaction. In the case of **Nottingham Hide Co vs. Bottrill 1873**, it was held that the facts, circumstances, and intention of each case has to be looked into for determining if it is a case of continuing guarantee or not.

Revocation of Continuing Guarantee

1. As per **section 130**, a continuing guarantee can be revoked at any time by the surety by notice to the creditor.

Once the guarantee is revoked, the surety is not liable for any future transaction however he is liable for all the transactions that happened before the notice was given.

Illustrations -

1. A promises to pay B for all groceries bought by C for a period of 12 months if C fails to pay. In the next three months, C buys 2000/- worth of groceries. After 3 months, A revokes the guarantee by giving a notice to B. C further purchases 1000 Rs of groceries. C fails to pay. A is not liable for 1000/- rs of purchase that was made after the notice but he is liable for 2000/- of purchase made before the notice.

This illustration is based on the old English case of **Oxford vs. Davies**.

In the case of **Lloyd's vs. Harper 1880**, it was held that employment of a servant is one transaction. The guarantee for a servant is thus not a continuing guarantee and cannot be revoked as long as the servant is in the same employment. However, in the case of **Wingfield vs. De St Cron 1919**, it was held that a person who guaranteed the rent payment for his servant but revoked it after the servant left his employment was not liable for the rents after revocation.

2. A guarantees to B, to the amount of 10000 Rs, that C shall pay for the bills that B may draw upon him. B draws upon C and C accepts the bill. Now, A revokes the guarantee. C fails to pay the bill upon its maturity. A is liable for the amount up to 10000Rs.

2. As per **section 131**, the death of the surety acts as a revocation of a continuing guarantee with regards to future transactions, if there is no contract to the contrary.

It is important to note that there must not be any contract that keeps the guarantee alive even after the death. In the case of **DurgaPriyavsDurgaPada AIR 1928, Cal HC** held that in each case the contract of guarantee between the parties must be looked into to determine whether the contract has been revoked due to the death of the surety or not. If there is a provision that says death does not cause the revocation then the contract of guarantee must be held to continue even after the death of the surety.

Q. Define Bailment. What are the essentials of bailment?

Bailment is a kind of activity in which the property of one person temporarily goes into the possession of another. The ownership of the property remains with the giver, while only the possession goes to another. Several situations in day to day life such as giving a vehicle for repair, or parking a scooter in a parking lot, giving a cloth to a tailor for stitching, are examples of bailment. *Section 148 of Indian Contract Act 1872*, defines bailment as follows -

Section 148 - A bailment is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them. The person delivering the goods is called the bailor and the person to whom they are delivered is called the Bailee.

ESSENTIALS OF CONTRACT OF BAILMENT:

1. Contract: - It is a basic essential for bailment. For the delivery of goods contract between the two parties is necessary. Contract may be oral or written, implied or expressed.

In **State of Gujarat vs Menon Mohammad AIR 1967**, SC held that bailment can happen even without an explicit contract. In this case, certain motor vehicles were seized by the State under Sea Customs Act, which were then damaged. SC held that the govt. was indeed the bailee and the State was responsible for proper care of the goods.

2. Moveable Property: - It is the main feature of bailment that it is only for the moveable property and not for the immoveable property.

3. Delivery of Goods: - It is also necessary that goods should be delivered by one person to another.

In **Ultzen vs. Nicols 1894**, the plaintiff went to a restaurant for dining. When he entered the room, the waiter took his coat and hung it on a hook behind him. When the plaintiff arose to leave, the coat was gone. It was held that the waiter voluntarily took the responsibility of keeping the coat while the customer was dining and was thus a bailee. Therefore, he was liable to return it.

4. Change of Possession: - Bailment contract also brings change in the possessions of the goods. Only bailment without possession is not sufficient for this contract.

- 5. Purpose of Bailment:**-The object of bailment may be for the safety of goods or for hire or for the use.
- 6. Temporary Delivery:** - The delivery of the goods may not be for the permanent purpose. It is essential that delivery must be made for the temporary purpose.
- 7. Ownership:**-right of ownership remains with bailor and it does not change by the delivery of goods to other person.
- 8. Change in Shape:**-If bailed goods shape changes in the meantime even then it remains a contract of bailment.
- 9. Parties of the Contract:**-In the contract of bailment there are two parties, the bailor and the bailee.
- 10. Returnable:** - It is very important feature of the bailment. The bailee should return the goods to the bailor or disposed according the directions of the bailor.

Q. Discuss the rights and duties of Bailee in a bailment.

Rights of the bailee

- 1. Rights to interplead (Sec. 165).** If a person, other than the bailor, claims the goods bailed, bailee may apply to the court to stop the delivery of the goods to the bailor and to decide the title to the goods.
- 2. Rights against third person (Sec. 180).** If a third person wrongfully deprives the bailee of the use or possession of the goods bailed, or causes them any injury, the bailee is entitled to use such remedies as the owner might have used in a like case if no bailment has been made. Bailee can thus bring a suit against a third person for such deprivation or injury.
- 3. Right of particular lien for payment for services (Sec. 170).** Where the bailee has (a) in accordance with the purpose of bailment, (b) rendered any service involving the exercise of labour of skill, (c) in respect of the goods, he shall have (d) in the absence of a contract to the contrary, right to retain such goods, until he receives due remuneration for the services he has rendered in respect of them. Bailee has, however, only a right to retain the article and not to sell it. The service must have entirely been formed within the time agreed or a reasonable time and the remuneration must have become due.

This right of particular lien shall be available only against the property in respect of which skill and labour has been used.

Examples

- (i) A delivers a rough diamond to jeweler , to be cut and polished, which is accordingly done. B is entitled to retain the stone till he is paid for the services he has rendered.

(ii) A gives cloth to B, a tailor, to make into a coat. B promises A to deliver the coat as soon as it is finished, to give A three month's credit for the price. B is not entitled to retain the coat until he is paid.

4. **Right of general lien (Sec. 171).** Bankers, factors, attorneys of a High Court and policy brokers will be entitled to retain, as a security for a general balance of amount, any goods bailed to them in the absence of a contract to the contrary. By agreement other types of bailees excepting the above given five may also be given this right of general lien.

5. **Right to indemnity (Sec. 166).** Bailee is entitled to be indemnified by the bailor for any loss arising to him by reasons that the bailor was not entitled to make the bailment or to receive back the goods or to give a directions respecting them. If the bailor has not title to the goods, and the bailee in good faith, delivers them back to, or according to the directions of the bailor, the bailee shall not be responsible to the owner in respect of such delivery. Bailee can also claim all the necessary expenses incurred by him for the purpose of gratuitous bailment.

6. **Right to claim compensation in case of faulty goods (Sec. 150):** A bailee is entitled to receive compensation from the bailor or any loss caused to him due to the failure of the bailor to disclose any faults in the goods known to him. If the bailment is for hire, the bailor will be liable to compensate even though he was not aware of the existence of such faults.

7. **Right to claim extraordinary expenses (Sec. 158) :** A bailee is expected to take reasonable care of the goods bailed. In case he is required to incur any extraordinary expenses, he can hold the bailor liable for such expenses.

8. **Right of delivery of goods to any one of the several joint bailor of goods.** Delivery of goods to any one of the several joint bailors of goods will amount to delivery of goods to all of them in the absence of any contract to the contrary.

Duties/Responsibilities of a Bailee

1. **Duty to take reasonable care:** In English law the duties of a gratuitous and non-gratuitous bailee are different. However, in Indian law, **Section 151** treats all kinds of bailees the same with respect to the duty. It says that in all cases of bailment, the bailee is bound to take as much care of the goods bailed to him as a man of ordinary prudence would, under similar circumstances take, of his own goods of the same bulk, quality, and value as the goods bailed. The bailee must treat the goods as his own in terms of care. However, this does not mean that if the bailor is generally careless about his own goods, he can be careless about the bailed goods as well. He must take care of the goods as any person of ordinary prudence would of his things.

In **Blount vs War Office 1953**, a house belonging to the plaintiff was requisitioned by the War Office. He was allowed to keep his certain articles in a room of the house, which he locked. The troops who occupied the house were not well controlled and broke into the room causing damage and theft of the articles. It was held that War office did not take care of the house as an owner would and held the War Office liable for the loss.

Bailee, when not liable for loss etc. for thing bailed -

As per **section 152**, in absence of a special contract, the bailee is not responsible for loss, destruction, or deterioration of the thing bailed, if he has taken the amount of care as described in section 151. This means that if the bailee has taken as much care of the goods as any owner of ordinary prudence would take of his goods, then the bailee will not be liable for the loss, destruction, or deterioration of the goods. No fixed rule regarding how much care is sufficient can be laid down and the nature, quality, and bulk of goods will be taken into consideration to find out if proper care was taken or not. In **Gopal Singh vs Punjab National Bank, AIR 1976, Delhi HC** held that on the account of partition of the country, when a bank had to flee along with mass exodus from Pakistan to India, the bank was not liable for the goods bailed to it in Pakistan.

If the bailee has taken sufficient care in the security of the goods, then he will not be liable if they are stolen. However, negligence in security, for example leaving a bicycle unlocked on the street, would cause the bailee to be liable. In **Join & Son vsComeron 1922**, the plaintiff stayed in a hotel and kept his belonging in his room, which were stolen. The hotel was held liable because they did not take care of its security as an owner would.

If loss is caused due to the servant of the bailee, the bailee would be liable if the servant's act is within the scope of his employment.

The extent of this responsibility can be changed by a contract between the bailor and the bailee. However, it is still debatable whether the responsibility can be reduce or it can be increased by a contract. **Section 152** opens with, "*In absence of special contract*", which is interpreted by Punjab and Haryana HC, as the bailee can escape his responsibility by way of a contract with the bailor. However, in another case Gujarat HC held that the bank was liable for loss of bales of cotton kept in its custody irrespective of the clause that absolved the bank of all liability. This seems to be fair because no one can get a license to be negligent and a minimum standard of care is expected from everybody.

2. Duty not to make unauthorized use (Section 154):Section 154 says that if the bailee makes any use of the goods bailed which is not according to the conditions of the bailment, he is liable to make compensation to the bailor for any damage arising to the goods from or during such use of them.

Illustration - A lends horse to B for his own riding only. B allows C, a member of his family, to ride the horse. C rides with care but the horse is injured. B is liable to compensate A for the injury to the horse.

A hires a horse in Calcutta from B expressly to march to Benares. A rides with care but marches to Cuttack instead. The horse accidentally falls and is injured. A is liable to make compensation to B.

Thus, we can see that bailee is supposed to use the goods only as per the purpose of the bailment. If the bailee makes any unauthorized use of the goods, he will be held absolutely liable for any damages.

3. Duty not to mix (Section 155-157):Thebailee should maintain the separate identity of the bailor's goods. He should not mix his goods with bailor's good without bailor's consent. If he does so, and if the goods are separable, he is responsible for separating them and if they are not separable, he

will be liable to compensate the bailor for his loss. For example, A bails 100 bales of cotton with a particular mark to B. B, without A's consent, mixes them with his own. A is entitled to have his 100 bales returned and B is bound to bear all expenses for separation. But if A bails a barrel of Cape flour worth Rs 45 to B and B mixes it with country flour worth Rs 25, B is liable to A for the loss of his flour.

4. Duty to return (Section 160): It is the duty of the bailee to return or deliver according to the bailor's directions, the goods bailed, without demand, as soon as the time for which they were bailed has expired or the purpose for which they were bailed has been accomplished.

If the bailee keeps the goods after the expiry of the time for which they were bailed or after the purpose for which they were bailed has been accomplished, it will be at bailee's risk and he will be responsible for any loss or damage to the goods arising howsoever.

In **Shaw & Co vs Symmons & Sons 1971**, the plaintiff gave certain books to the defendant to be bound. The defendant bound them but did not return them within reasonable time. Subsequently, the books were burnt in an accidental fire. The defendants were held liable for the loss of books.

5. Duty to return increase (Section 163): As per Section 163, in absence of any contract to the contrary, the bailee is bound to deliver to the bailor, or according to his directions, any increase of profit which may have accrued from the goods bailed.

Illustration - A leaves a cow in the custody of B to be taken care of. The cow has a calf. B is bound to deliver the calf as well as the cow to B.

6. Duty not to set up jus tertii (Section 166): As per Section 166 if the bailor has no title and the bailee, in good faith returns the goods back to the bailor or as per the directions of the bailor, he is not responsible to the owner in respect of such delivery. Thus, once the bailee takes the goods from the bailor, he agrees that the goods belong to the bailor and he must return them only to the bailor. He cannot deny redelivery to the bailor on the ground that the bailor is not the owner.

If there is true owner of the goods, he can apply to the court to stop the delivery of the goods from the bailee to the bailor. This right is given to the true owner in **section 167**.

Q. What is pledge? What is lien? Explain different types of lien.

Pledge is a special kind of bailment in which a person transfers the possession of his property to another for securing the loan taken from the other. It only differs from bailment in the matter of purpose. When the purpose of the bailment is to secure a loan or a promise, it is called a pledge. **Section 172** of Indian Contract Act 1872 defines Pledge as follows -

Section 172 - The bailment of goods as a security for the payment of a debt or performance of a promise is called Pledge. The bailor in this case is called a Pawnor and the bailee is called Pawnee.

J Shelat in Lallan Prasad vs Rahmat Ali AIR 1967 observed that Pawn or pledge is a bailment of personal property as a security for some debt or engagement.

LIEN: The right to retain the lawful possession of the property of another until the owner fulfills a legal duty to the person holding the property, such as the payment of lawful charges for work done on the property. A mortgage is a common lien.

In its widest meaning this term includes every case in which real or personal property is charged with the payment of any debt or duty; every such charge being denominated a lien on the property. In a more limited sense it is defined to be a right of detaining the property of another until some claim be satisfied.

The right of lien generally arises by operation of law, but in some cases it is created by express contract.

There are two kinds of lien; particular and general. When a person claims a right to retain property, in respect of money or labor expended on such particular property, this is a particular lien.

Liens may arise in three ways:

1. by express contract;
2. from implied contract, as from general or particular usage of trade;
3. By legal relation between the parties, which may be created in three ways: 1. When the law casts an obligation on a party to do a particular act and in return for which, to secure him payment, it gives him such lien; common carriers and inn keepers are among this number; 2. When goods are delivered to a tradesman or any other, to expend his labor upon, he is entitled to detain those goods until he is remunerated for the labor which he so expends; 3. When goods have been saved from the perils of the sea, the salvor may detain them until his claim for salvage is satisfied; but in no other case has the finder of goods a lien.

Lien is of two kinds - Particular and General.

Particular Lien: This means that the lien holder has a right to keep possession of only that particular property for which the charges are owed. For example, A gives a horse and a bicycle to B. A agrees to pay B charges for training the horse and no charges for keeping the bicycle. Now, if A fails to pay charges for the horse, B is entitled to keep possession only of the horse and not of the bicycle. He must return the bicycle.

Section 170 gives this right to the bailee. It says that where the bailee has, in accordance with the purpose of the bailment, rendered any service involving the exercise of labor or skill in respect of the goods bailed, he has, in absence of a contract to the contrary, a right to retain such goods until he receives due remuneration for the services he has rendered in respect of them.

Illustrations - A delivers a rough diamond to B to be cut and polished, which is accordingly done. B is entitled to keep the diamond until charges for his services are paid.

A gives cloth to B, a tailor, to make into a cloth. B promises to deliver the coat as soon as it is done and also to give 3 months credit for the price. B is not entitled to keep the coat until he is paid.

Conditions for Particular Lien -

Exercise of labor or skill- This right is subject to the condition that the bailee has exercised labor or skill in respect of the goods. Further, it has been frequently pointed out that the labor or skill must be such as improves the goods. This, in **Hutton vs Car Maintenance Co 1915**, it was held that a job master has no lien for feeding and keeping the horse in his stable but a horse trainer does get a lien upon the horse.

Labor or skill exercised must be for the purpose of the bailment - Any services rendered that are beyond the purpose of the bailment do not give a right of lien. For example, A bails his car to B to repair Engine. But B repairs tires instead. B will not get the right of lien.

Labor or skill exercised must be in respect of the goods - As mentioned before, the bailee gets a right of lien only upon the goods upon which the service was performed.

General Lien - As opposed to Particular Lien, General Lien gives a right to the bailee to keep the possession of any goods for any amount due in respect of any goods. **Section 171** says that, bankers, factors, wharfingers, attorneys of a High Court, and policy brokers may, in the absence of a contract to the contrary, retain as a security for a general balance of account, any goods bailed to them; but no other persons have a right to retain, as a security for such balance, goods bailed to them, unless there is an express contract to that effect.

Thus, this right is only available to bankers, factors, wharfingers, attorneys of high court, and policy brokers. However, this right can be given to the bailee by making an express contract between the bailor and the bailee.

Q. Can a finder of goods sell the same? If yes then in what capacity?

POSITION OF FINDER OF GOODS

According to **section 71**, a person who find goods belonging to another and takes them into his custody, is subject to the same responsibility as a bailee. Since the position of the finder of the goods is that of a bailee he is supposed to take the same amount of care with regard to the goods as is expected of a bailee under **section 151**. He is also subject to all the duties of a bailee, including a duty to return the goods after the true owner is found. If he refuses to return, he could be made liable for conversion.

RIGHTS OF FINDER OF GOODS

Section 168 and 169 confer certain rights on the finder of goods.

1. RIGHT OF LIEN: According to **section 168**, a finder of goods has no right to sue the owner for trouble and expenses voluntarily incurred by him to preserve the goods and to find the owner.

He has, however, the right of particular lien in respect of those goods. He may retain the goods against the owner until he receives compensation for trouble and expense voluntarily incurred by him to preserve the goods and to find the owner

1. RIGHT OF CLAIMING THE REWARD, IF ANNOUNCED BY THE OWNER : It has been noted above that the finder has the right to retain the goods until he is paid compensation for trouble and expense voluntarily incurred by him to preserve the goods and find the owner. In addition to that, where the owner has offered a specific reward for the return of goods lost the finder may sue for such reward and also may retain the goods until he receives it.

If the goods have already been found voluntarily, and then the owner of the goods promises to compensate the finder for his past voluntary services, the contract is binding and the owner is bound to pay the promised amount.

- **RIGHT TO SELL THE GOODS FOUND (SEC.169)**

The finder of the goods has also been given the right to sell the goods found by him under certain circumstances mentioned in section 169. Such a right is available to the finder of the lost goods when the following conditions are satisfied:

1. If the owner of the goods cannot be found; or if he refuses to pay the lawful charges of the finder, and
2. When the good is in danger of perishing its value; or when the lawful charges of the founder in respect of the thing found amount to two-third of its value.

Q. What is meant by 'Agent' 'Sub-Agent' and 'Principal' under Indian Contract Act? Discuss the extent of Agent's authority. Is Consideration required for creation of an agency?

The person acting on behalf of the other is called an *agent*, and the person from whom the agent derives authority to act is called the *principal*. The law of agency is based on the Latin maxim "**qui facit per alium, facit per se**," which means, "*He who acts through another is deemed in law to do it himself*". Agent and principal are defined under **Section 182** of the Indian Contract Act, 1872. According to the section "an agent is a person employed to do any act for another or to represent another in dealings with third persons. The person for whom such act is done, or who is so represented, is called the principal". The competent agent is legally capable of acting for the principal vis-à-vis the third party.

According to **section 184** any person can become an agent i.e. there is no need to have a contractual capacity to become an agent. Therefore, a minor can also act as an agent. But the minor will not be responsible to his principal. Different types of commercial agents have been identified under Indian law like *brokers, auctioneers, del credere agents, persons entrusted with money for obtaining sales and insurance agents*.

Section 191 of the Indian Contract Act, 1872 defines **sub-agent**. According to this section “a sub-agent is a person employed by, and acting under the control of, the original agent in the business of the agency.” The appointment of an agent may be done properly or improperly, which determines the relationship between the principal and the sub-agent.

Section 188 of Indian Contract Act 1872: "Extent of agent's authority": An agent having an authority to do an act has authority to do every lawful thing which is necessary in order to do such act.

An agent having an authority to carry on a business has authority to do every lawful thing necessary for the purpose, or usually done in the course, of conducting such business.

Illustrations

- (a) A is employed by B, residing in London, to recover at Bombay a debt due to B. A may adopt any legal process necessary for the purpose of recovering the debt, and may give a valid discharge for the same.
- (b) A constitutes B as his agent to carry on his business of a ship-builder. B may purchase timber and other materials, and hire workmen, for the purpose of carrying on the business.

In **Ferguson Vs. Uma Chand Bold (1905) Cal HC** said that ‘A’ executes a power of attorney in favour of ‘B’ in running a silk factory, but the power of attorney did not authorized ‘B’ to borrow and if ‘B’ borrowed, it was stated to be an act in excess of his authority.

Section 189 of Indian Contract Act 1872: "Agent's authority in an emergency": An agent has authority, in an emergency, to do all such acts for the purpose of protecting his principal from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances.

Illustrations

- (a) an agent for sale may have goods repaired if it be necessary.
- (b) A consigns provisions to B at Calcutta, with directions to send them immediately to C, at Cuttack. B may sell the provisions at Calcutta, if they will not bear the journey to Cuttack without spoiling.

According to **Section 185** *Consideration is not necessary to create an agency*. Generally an agent gets commission for his services. If the agent promises to perform an act for his principal without charging any commission the agreement is valid even without consideration.

EXAMPLE: Alley promises to sell Beam’s house on his behalf. An agreement between Alley and Beam is valid even without consideration

Q. Write a note on revocation of agency?

Agency can be terminated by following ways:

By Agreement

On the basis that agency relationship is created by agreement between the principal and the agent, such a relationship can also be brought to an end by mutual agreement between the parties, either in writing or orally.

Termination by agreement may also occur if the agency relationship is terminated pursuant to the provisions of the agreement itself. The following situations may arise in this context:

If the agreement provides for the appointment of the agent for a specified period of time, the agency will come to an end automatically when that period of time expires.

If the agreement provides for the agency to terminate upon the occurrence of a specified event, the agency will come to an end upon the happening of the specified event.

By the Act of Parties: An agency may be terminated by the acts of the either principal or the agent as illustrated below:-

Performance by the agent: If an agent is appointed to accomplish a particular task or for a specific purpose, when the task is accomplished by the agent or the specific purpose is attained, the agency will terminate.

Revocation by the principal

The authority of an agent may be revoked at any time by the principal. However unilateral revocation otherwise than in accordance with the provisions of the agency agreement may render the principal liable to the agent for the breach of agency agreement.

Any word or conduct of the principal inconsistent with the continued exercise of the authority by the agent may operate as revocation of the agency.

Revocation's of the agent's power by the principal may not automatically discharge the principal from liability to a third party who is entitled to rely on the apparent authority of the agent on grounds of representation by the principal of previous course of dealing with the agent's before notice of revocation is given to the third party .Therefore notice of revocation of an agent's power should be given to the third party as soon as possible.

Renunciation by agent

An agent is entitled to renounce his power by refusing to act or by notifying the principal that he will not act for the principal.

Unilateral termination of the agency by the agent before he has fulfilled the obligations to the principal under the agency agreement will render the agent liable to the principal for the breach of the agency agreement such as payment of damages for the loss suffered by the principal.

By Notice

If the agency agreement provides that the agency may be terminated upon either party serving on the other written notice of a specified duration.

However, if the agency agreement does not contain any termination provision, the general rule is that reasonable notice has to be given to the other party to terminate the agency.

By Operation of Law:-

An agency may terminate by the operation of law upon the occurrence of particular events:-

Where the party concerned is an individual:

- By death
- By insanity
- By bankruptcy

Where the party concerned is a limited company

- Winding up
- Receivership

Frustration of the contract of agency.

Q. What is ratification? What is the effect of ratification? How can a ratification be made?

Agency by Ratification

Subsequent adoption of an activity is called ratification. Soon after ratification, the person who has done the activity becomes agent and that person who has given ratification becomes principal.

Ratification is of two types. Namely; •

Express Ratification and

- Implied Ratification.

The ratification where there is wording and expression is called express ratification. *For example:* With A's direction, B has purchased goods for the sake of A from C. Thereafter, A has given his Support to B's activity, it is called ratification and now A is principal and b is agent.

The ratification where there is no expression is called implied ratification. Here the mode of behavior of the party indicates that support is given to activity concern. *For example:* Mr. Q has P's money with him.

Without P's direction Q has lent that amount to R. Thereafter, R pays interest directly to P and P has taken the amount of interest. It indicates that P has given his support to Q's activity.

Essentials of Valid Ratification:

1. The person, who is going to give ratification, must be in existence at the time of activity. Let us consider pre-incorporation contracts made by promoters. Company comes into existence on the date of incorporation. Therefore company is not in existence at the time of pre-incorporation contracts. If company gives ratification to pre incorporation contracts, it is not valid ratification. Hence to pre-incorporation contracts, promoters are personally liable.
2. The person who is going to give ratification should have capacity to contract, at the time of activity as well as at the time of ratification. In **ArmuganVsDorai Singh** the minor obtains loan from money lender and executes a deed. Before repayment of debt, he becomes a major and executes another bond. Court decides that the second bond also is not valid because the person who has given ratification has no capacity to contract at the time of activity i.e. at the time of getting loan.
3. Ratification should be given within reasonable period after the activity the concept of reasonable period depends upon nature of the situation.
4. Ratification must be absolute. To entire activity ratification is to be given. Partial ratification carries no validity.
5. The fact of ratification must be communicated to all parties in connection with the activity.
6. Ratification attains validity only when it is given with full knowledge of facts relating to the activity.
7. The activity which is going to be ratified must be a lawful activity. *For example:* for the sake of A, B has murdered C. If A gives his support to B's activity, it is not valid ratification.
8. The person who is going to give ratification should have right to do such activities. For example: If company gives ratification to an Ultra-vires activity it is not valid.
9. Ratification relates back to date of activity. Though ratification takes place after the date of activity, it will be assumed that ratification is given on the date of activity.
10. Ratification should not lead to breach of contract. In other words ratification should not be harmful to third party. *For example:* There is a rental agreement between A and B according to which three months' notice is needed at the time of vacation of house. On one day C, A's son, has asked B to vacate the house on that day itself. A has given his support to C's activity. It is not valid ratification because it leads to breach of rental agreement and at the same time it is harmful to B.

Effects of Ratification

The effect of ratification is to put the principal, agent, and the third party into the position that they would have been if the agent's acts had been authorized from the beginning. Ratification, in fact, relates back to the time of the unauthorized act, and not to the date when the principal ratified the said act. The doctrine of relating back is based on the assumption that the unauthorized act is not a nullity; if it were, ratification itself would be ineffective either because a nullity cannot be ratified or, the principal himself could not have validly done the act in question, when it took place.

Ratification: The express or implied affirmation of a previously *unauthorized* contract made by a purported agent.

- (1) The purported agent must have acted on behalf of the principal who subsequently ratified the action;
- (2) The principal must know all material facts involved in the transaction;
- (3) The agent's act must be affirmed in its entirety by the principal;
- (4) The principal must have the legal capacity to affirm the transaction both
 - (a) at the time the agent acts, and
 - (b) at the time the principal ratifies;
- (5) The principal must affirm before the third party withdraws from the transaction;

And (all of this stuff must exist!)

- (6) The principal must observe the same formalities when he or she ratifies the act as would have been required to authorize it initially

Q. Discuss the ways in which relationship of an agency arises or created?

An agency may be created in any of the following ways:

1. **Express agency:** An express agency may be created orally by words of mouth or in writing (**Sec. 187**). The most common form of written agency, you might have often heard of, is power of attorney, under seal, popularly called P.O. A. Under such authority, an agent is authorized to bind his principal by any contract under seal, i.e., a written and stamped document.
2. **Implied agency:** An agency is said to be implied when it is to be inferred from the circumstances of the case. An implied agency does not arise out of a contract, but is implied from the acts of the

parties, or the ordinary course of dealing, usage or custom of the trade, etc. The agent is deemed to be acting on behalf of the principal.

Example:

A owns a shop in Meerut and he himself lives in Delhi. A visits his shop occasionally. The shop is managed by B who is in the habit of ordering goods from C in the name of A for the purpose of the shop, and of paying for them out of A's funds and with A's knowledge. B has an implied authority from A to order goods in the name of A for the purpose of the shop.

The implied agency includes agency by estoppel, agency by holding out and agency by necessity.

(i) Agency by estoppel: Where a person, by his conduct or words spoken or written, willfully leads another to believe that a certain person is acting as his agent, he is estopped later on from denying the truth of the fact that such a person is dealing as his agent.

Example:

A tells B in the presence and within the hearing of C that he (A) is C's agent. C does not object to this statement and keeps quiet. Later on B enters into a transaction with A bona fide believing that A is C's agent. C is bound by this transaction and will be estopped from denying that A was his agent, even though A was not in reality his agent.

It will be noticed from the above example that C by his conduct has willfully led B to believe that A is C's agent. Now C will be estopped from denying the truth of the statement that A is C's agent. Hence C is liable although in reality, A is not C's agent.

(ii) Agency by holding out: It is a corollary of the first rule. In the case of agency by estoppel, the role of the principal is passive while in the case of agency by holding out, the role of the principal is rather active and somewhat affirmative or positive.

Example:

A allows his servant habitually to buy goods on credit from local dealer and pays for them.

One day he terminated the services of his servant without any notice to the dealer. The servant purchased goods worth Rs. 100 on credit, as usual, after his termination. A is liable for the purchase made by his servant.

(iii) Agency by necessity: Necessity in certain cases forces a person to act as an agent of the other, even without his consent (i.e., consent of the other person). In such a case, the law implies agency by necessity. The law confers authority upon a person to act as an agent of the other in times of necessity or emergency to save his property, etc. where it is impossible to get the formal consent of the principal. In that case, the law implies the consent of the principal.

Example:

A sent 10 tons of fish by a truck to Agra. On the Way, the truck met with an accident. The fish were in danger of perishing so the truck driver sold the fish. The truck driver has become A's agent by necessity.

Ratification Relates back to date of Contract:

Ratification relates back to the date of the original transaction or ratification is tantamount to prior authority. In simple words, ratification would mean as if the agent had authority to enter into transaction at the time of making the contract (**Sec. 196**). In other words the transaction would be valid not from the date of ratification but from the date the transaction was made.

Example: The managing director of a company, without its authority accepted an offer by L. L withdrew his offer later on. But the company ratified the acceptance. Held, L was bound by the ratification as it related back to the time of acceptance and, therefore revocation by L was not valid [**Bottom Partners v. Lambert**]

Q. Discuss Rights, Duties and Responsibilities of an Agent.

Section 182 of the contract act defines, “An agent is a person employed to do any act for another or to represent another in dealings with third persons. The person for whom such act is done, or who is represented, is called the principal”.

The function of an agent is essentially to bring about contractual relations between the principal and third parties. An agent has certain rights, duties and liabilities towards the principal and third parties depending upon the nature of business. These rights, duties and liabilities can be generated as:-

Rights of an Agent

- i) **Right to Receive Remuneration** – The agent is entitled to receive an agreed remuneration or reasonable remuneration unless otherwise agreed upon. An agent has a right to claim his remuneration on completion of his work, even if the contract never materializes on account of breach. But, if an agent is found guilty of misconduct or fraud, etc. he has no right over remuneration. In addition, he is entitled or liable to compensate the principal for any such loss.
- ii) **Right of Retainer:** An agent has the right to retain any sum, received by him on behalf of his principal from the third parties, which may fall due as part of his remuneration, or advances or expenses incurred in the general conduct of business.
- iii) **Right of Lien:** An agent has the right to retain any movable or immovable property, papers or goods of the principal received by him, until the amount of commission due to him is received. This kind of alien is a ‘Particular lien’ which will end as soon as the possession is lost. However, by a special contract such a lien can be extended to a ‘General Lien’.
- iv) **Right to be Indemnified Against Consequences of Lawful Acts:** An agent has also the right to be indemnified against the consequences of all lawful acts done by him in exercise of authority

conferred upon him. This right of the agent is obvious for the simple reason that an agent is a representative of his principal.

- v) Right to be Indemnified Against Consequences of Acts Done in Good Faith:** An agent has the right to be indemnified against all acts done by him in utmost good faith, where one person employs another to do an act and the agent does the act in good faith, the employer or principal is liable to indemnify the agent.

Eg.: A employs B to sell the goods in A's possession B sells the goods unaware of the fact that C is the actual owner of the goods. C sues B for the recovery of the value of goods. In this case B has a right to be indemnified by A and to reimburse the expenses incurred by B is the liability of A.

- vi) Right to Compensation:** The agent has a right to be compensated for injuries sustained by him due to the principal's neglect or want of skill. However, the principal is not liable for any compensation for the injuries caused by the own neglect of the agent.

- vii) Right of Stopping of Goods in Transit:** An agent has a right to stop the goods in transit if:-

- a) He has bought goods either with his own money or by incurring a personal liability for the price on behalf of the principal,
- b) The principal has become insolvent of/and
- c) When an agent, e.g. delCredere agent is personally liable to his principal for the price of the goods sold, he can exercise the unpaid seller's right and stop the goods in transit on the insolvency of the buyer.

- viii) Agent's Right To do All Lawful Things:** A person who is appointed as an agent has the right to do all lawful things which fall under the usual course of business.

- ix) Right in Emergency:** An agent has a right to do all such acts which could protect his principal from loss in case of emergency as would have been done in his own case, in a similar situation.

- x) Right to Appoint Sub-Agent & Substitute Agent:** An original agent has a right appointed would be responsible to the original agent, except in case of fraud, etc. Where an agent has an express or implied authority he may name another person as substitute agent to act for his principal.

- xi) Right to Renounce His Agency:** An agent is in full right to renounce his agency by giving a reasonable notice to his principal.

- xii) Right to Receive Compensation for Remature Revocation:** If there is an express or implied conduct on the part of the agency that the agency would continue for a specified period and if there is previous revocation without any reasonable cause, the agent would have a right to compensation in such a case.

Duties and Responsibilities of an Agent

- i) **Duty of Follow Principal's Directions of Customs:** The first and the foremost duty of an agent is to act within the scope of authority conferred upon him and act according to the directions given by his principal. In the absence of any such instructions the agent should work according to the customs prevailing in the agency. If he acts otherwise he is liable to make good the loss caused by him.
- ii) **Duty to Carry Out Work With Reasonable Skill & Diligence:** The agent must conduct the business with reasonable skill and diligence unless otherwise specified i.e. if the principal has notice of want of skill. In general the agent is expected to work in the manner as he would do in his own name.
- iii) **Duty to Render Accounts:** It is the duty of the agent to maintain proper accounts of his principal's property and render it to him on demanded, or periodically if so agreed upon.
- iv) **Duty to Communicate:** It is the duty of the agent to communicate to the principal with full diligence any difficulty that may arise from time to time. He should obtain proper instructions from the principals, before taking any steps in facing the difficulty. But, if due to certain reasons he is unable to communicate the difficulty, he has full authority to take all reasonable steps to prevent loss.
- v) **Duty Not to deal on his own Account:** It is the duty of the agent not to buy from or sell goods to the principal in his own account, which he is actually asked to sell or buy on his principal's behalf, without obtaining prior consent of his principal, all material facts being disclosed.
- vi) **Duty not to make any profit out of his Agency Except his Remuneration:** An agent stands in a fiduciary relation to his principal and therefore he must not make any secret profits from the agency. He is authorized only to a fixed remuneration or commission as the case may be. If the principal gets the notice of any such secret profit he can either recover the amount of profit from the agent, refuse to pay his remuneration, terminate the agency without prior notice, file a suit against his agent or can even repudiate the contract entered by his agent with the third party.
- vii) **Duty on Termination of Agency by Principal's death or Insanity:** When an agency is terminated due to the death or insanity of his principal, it is the duty of the agent to take all steps to protect and preserve all the interests entrusted to him.
- viii) **Duty not to delegate His Authority:** It is the duty of an agent not to do his work i.e. to perform the work which he has expressly or impliedly undertaken to perform personally except of specifically agreed upon.
- ix) **Duty not to use the Information Obtained in the course of the Agency Against his Principal:** It is the duty of the agent not to use the information obtained in the course of business against his principal. If he does so, he must compensate the loss incurred by his principal.
- x) **Duty to Pay Sums Received for the Principal:** It is the duty of the agent to pay all such sums to his principal which he may have received for him. He has the right to deduct any amount which may be outstanding in this account like remuneration, etc.

xi) Duty not to set up an Advance Adverse Title: When an agent receives goods from his principal or other sources, on behalf of the principal, it is the duty of the agent not to set up an adverse title i.e. his own title or title of third parties to it. If he does so, he can be held liable.

xii) Duty in Naming an Agent for his Principal: Selecting an agent for his principal, an agent is bound to put in same amount of discretion, as he would do in his own case, under similar circumstances.

Liabilities of an Agent

i) Liabilities in Respect of Damages and Misconduct: In case of breach of contract by an agent, he is liable to pay damages. If he is found guilty of misconduct, the principal can hold back his remuneration for that part of business which he has mis-conducted.

ii) Personal Liability of an Agent where Fixed by Trade Custom or Usage: If the trade custom or usage in business specifies the personal liability of an agent, then he will be held personally liable for his misdeeds, until unless specified.

iii) When an Agent Expressly Agrees to be Liable: When the contract expressly specifies that the agent shall be held personally liable in case of breach of contract, then he can be held liable personally.

iv) Liability for his wrongful Acts: An agent is held liable personally when he acts beyond his authority or commits fraud or misrepresentation.

v) Liability for the Acts of Sub-agents: When an agent appoints a sub-agent, without having the authority to do so, he will be liable for all acts of the sub agent, both to the principal and the third party.

Q. Who is a 'del credere agent'? Distinguish between sub agent and substituted agent. (2013) A del credere is an agent who guarantees the solvency of third parties with whom the agent contracts on behalf of the principal. As a token for the guaranty given, the agent receives an additional commission for sales. The promise of such an agent is almost universally held not to be within the statute of frauds. Such an agent assumes the position of a surety who is liable to his principal if the vendee makes default. Such agents are commonly referred to in English law. They are also known as delcredere factor.

DIFFERENCE BETWEEN SUB AGENT AND SUBSTITUTED AGENT

Sub-agent

1. A sub-agent is appointed by the agent and as such he is under the control of the agent.
2. A sub-agent acts under the agent.
3. There is no privity of contract between the subagent and the principal.
4. A sub-agent cannot ask for his remuneration from the principal.

5. The principal cannot hold the sub-agent liable, except in case of fraud.

6. An agent is liable for the agent acts of the sub-agent.

Substituted Agent

1. A substituted agent is only named by the agent but is under the control of the principal.

2. A substituted agent acts independently for his principal.

3. There is contractual relationship between the substituted agent and the principal.

4. A substituted agent can ask for his remuneration from the principal.

5. The principal can hold the substituted agent liable.

6. An agent is not liable for the acts of the substituted agent.

INDIAN PARTNERSHIP ACT 1932

Q. Define partnership. Discuss true test of partnership. What are the rights of partner?

Definition Of Partnership:

Section 4 of the Indian Partnership Act ,1932 defines 'Partnership' as: 'Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all '

Essentials Of Partnership : According to **Section 4**, the following essentials are necessary to constitute a 'Partnership'.

1. There should be an agreement between the persons who wants to be partners.
2. The purpose of creating partnership should be carrying on of business
3. The motive for the creation partnership should be earning and sharing profits.
4. The business of the firm should be carried on by all of them or any of them acting for all, i.e., in mutual agency

When all the above elements are present in certain relationship that is known as 'partnership'. Persons who have entered into partnership with one another are called individually 'partners' and collectively 'a firm' and the name under which their business is carried on is called the ' firm name'.

Elements Of 'Partnership':

1. There must be an agreement entered into by all the persons concerned.
2. The agreement must be to share the profits of business; and
3. The business must be carried on by all or any of the persons concerned, acting for all.

Illustrations:

- a) A and B buy 100 bales of cotton, which they agree to sell for their joint account. A and B are partners in respect of such cotton.
- b) A and B buy 100 bales of cotton, agreeing to share it between them. A and B are not partners.
- c) A agrees with B, a goldsmith , to buy and furnish gold to B , to be worked on by him and sold , and that they shall share in the resulting profit or loss. A and B are partners.

TRUE TEST OF PARTNERSHIP

According to **Sec.4** of the Indian Partnership act, 1932 "Partnership is the relationship between persons who have agreed to share the profits of a business carried on by all or any of them acting for all." Generally a partnership consists of three essential elements:

- (a) There must be agreement between partners.

- (b) The agreement must be to share the profits of the business.
- (c) The business must be carried on by all or any of them acting for all.

In order to determine the existence of partnership between a group of persons, agreement between persons must be taken into consideration. If the agreement is to share the profits of a business, and the business is carried on by all or any of them acting for all, there is partnership otherwise not.

But if there is no agreement or the agreement is such as it does not specifically speak of partnership, the ***real relation between the parties*** should be taken as base in determining the existence of partnership (sec.6).

The existence of a partnership cannot be determined on the basis of expressed intentions. In ***Raghunathan vs. Hormusjee***[51 Bom 342], it was held that mere use of the word 'partner' does give rise to a partnership where there is none. The existence of a partnership is determined by the actual or real relationship between the so called partners of the firm as inferred from all relevant facts. It depends upon the intention of the parties as shown by their agreement or conduct which gives rise to an implied agreement or both. Mere common interest does not make a person a partner. In the same manner, sharing finances does not mean two people are partners.

The ***real relation between the parties*** is to be determined from all the relevant facts, i.e., the written or verbal agreement, surrounding circumstances at the time when the contract was entered into, conduct of the parties and other relevant facts, e.g., books of accounts, correspondence, evidence of employees, etc. These facts are to be ***considered collectively not individually***. In effect it is the ***substance of the facts***, not the form that has to be looked into in determining the real relation between the parties. There may be cases where the parties expressly state in a document that they are not partners but they may turn out to be partners in the eyes of law, when all the facts are taken into account. Again, a statement by the parties in a document that they are partners may not necessarily constitute them partners in law.

MERE SHARING OF PROFIT IS NOT PARTNERSHIP

The sharing of profit is an essential element to constitute a partnership. But, it is only a ***prima facie evidence*** and not ***conclusive evidence***. The receipt of a share of the profits of a business by a person or a payment contingent upon the earnings of profits or varying with the profits earned by business, would not by itself make him a partner with the persons carrying on the business. **Sec. 6** enumerates cases where there is sharing of profits but the partnership relation does not exist. These cases are:

- (a) Joint owners of property sharing profits or gross returns arising from the property do not become partners.
- (b) Where a lender lent money to persons engaged or about to engaged in business, and receives a rate of interest varying with the profit.

- (c) Where a servant or agent engaged in a business and receives his remuneration as a share of profit.
- (d) Where the widow or child of a deceased partner receives a portion of the profits.
- (e) Where a person has sold his business along with its goodwill and receives a portion of the profits in consideration of the sale.

Although the sharing of profits of a business is a strong test of partnership, yet the existence of relation of partnership must depend upon the real intention and conduct of the parties.

In **Cox vs. Hickman [1860 8 HL Cas 268]**, it was decided that of all the essentials of a partnership, sharing profits is an important criterion but is not conclusive. The true test of determining the existence of partnership is *mutual agency*. If one partner can bind the other partners and the firm by his actions and is also, in turn, bound by the actions of the other partners, only then it can be said that a partnership exists.

Example: A is an assistant in a firm of brokers and he receives a share in the profits over and above his salary. At times, A also signs some letters and documents on behalf of the firm. Nevertheless, A is only an agent of the firm and does not become a partner merely because he received a share in profits. This illustration is similar to the case of **McLaren Morrison vs. Verschoyle [1901 6 CWN 429]**.

Example: A is a doctor who sold his medical practice and its goodwill to B. They enter into an agreement under which A will help B by introducing him to his patients. In turn, A will get a share of profits. Here, A and B are not partners. This illustration is similar to the case of **Pratt vs. Strick [1932 7 Tax Cas. 459]**

Rights of Partners:

1. **Right to take part in the conduct of the business [section 12(a)]**. subject to contract between the partners, every partner has a right to take part in the conduct of the business of the firm. this right cannot be taken away except by a contract. unequal capital contribution or no capital contribution is no bar to his right. it is sometimes provided by express agreement that this or that partner will not take active part in the conduct of the business and also for payment for salary to managing or active partner.
2. **Right to be consulted [section 12(c)]**. subject to contract between the partners, any difference arising as to ordinary matters may be decided by a majority of the partners, and every partner shall have the right to express his opinion before the matter is decided by the majority of the partners. this power, though not in itself of a judicial kind, is subject to the rule of natural justice. every partner must have an opportunity of being heard, and the decision must be made in good faith with a view to collective interest of the firm. further, no change may be made in the nature or place of the business without the consent of all the partners. thus in the cases of fundamental matters, the consent of all the partners becomes necessary.
3. **Right to have access to firm's books [section 12(d)]**. Subject to contract between the partners, every partner has a right to have access to and to inspect and copy any of the books of the firm. the term 'books', used in *section 12 (d)*, is more comprehensive than the term 'accounts' used in **section 30**

(2) of the act. As such, no exception can be made to any books of the firm, even though a particular book may contain business secrets. This right can be exercised by the partner personally or by an agent, who is not objectionable. However, the extracts of the books should not be used by a partner for purposes hostile or injurious to the firm after he has ceased to be a partner.

4. Right to share the profits [section 13(b)]. subject to contract between the partners, the partners are entitled to share equally in the profits earned, and shall contribute equally to the losses sustained by the firm. since this provision is subject to the contract between the partners, it is open to the partners to divide the profits and losses of the firm in a different ratio. the contract may provide that a particular partner will bear all the losses of the business. the contract to the contrary may even provide that one of the partners is to have a fixed salary.

5. Right to interest (section 13(c) and section 13(d)). Unless otherwise agreed, the partners are not entitled to any interest on their capital. Section 13(c) provides that where a partner is entitled to interest on the capital subscribed by him such interest shall be payable out of profits. Section 13(d) provides that subject to contract between the partners, a partner making for the purposes of the business, any payment or advance, beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon at the rate of **six per cent** per annum from the firm. A partner has the right of interest on advances whether there are profits or not. But a partner is not entitled to interest after the date of dissolution. The contract may provide a different rate of interest. Subject to contract between the partners, a partner is not entitled to receive remuneration for taking part in the conduct of the business **[section 13 (a)]**.

6. Right to indemnity (section 13(e)). Subject to contract between the partners, the firm shall indemnify a partner in respect of payments made and liabilities incurred by him—

(i) in the ordinary and proper conduct of the business, and (ii) in doing such act, in an emergency, for the purposes of protecting the firm from loss, as would be done by a person of ordinary prudence, in his own case, under similar circumstances.

7. Right to use the property of the firm for the purposes of the business of the firm (section 15). subject to contract between the partners, the property of the firm shall be held and used by the partners exclusively for the purposes of the business. if a partner uses the property of the firm for his own purposes, he will be liable to account to the firm for the profits, if any, that he may make. a contract of partnership is *uberrima fidei*.e., a contract of absolute good faith.

8. Rights of an outgoing partner. The rights of an outgoing partner have been explained in a subsequent chapter. These rights are:

(a) Right to carry on competing business **[section 36(1)]**; and

(b) Right in certain cases to share subsequent profits **[section 37]**.

Instead verses. Salt, (1825) 3 Bing 101, a partner without the authority of the other partner, submitted a dispute to arbitration. The award passed on such submission was held not binding on the other partner as the submission to arbitration ordinarily does not come within the scope of a partner's authority so as to bind the other partners. Similar was the decision in **venkatachellamchetty verses. ratnanathan**, the partner was not allowed to claim indemnity in the circumstances of the case.

Inthomas verses atherton, (1878) 10 Ch d 185, the managing partner of a colliery worked beyond the boundaries of the colliery without making proper inquiries. The adjoining owner gave a notice to the managing partner to that effect. Even after receiving the notice from the adjoining owner that he was committing a trespass, he recklessly continued such workings without consulting his co-partners, even though he had a *bonafide* belief that the adjoining owner had no title to the disputed areas. The adjoining owner brought an action before the arbitration for trespass and awarded damages of £ 6,000. The co-partners refused to contribute. The managing partner filed a suit against them. The court of appeal held that the managing partner alone was liable for damages.

Inmahadeo verses patel verses. ganoochangoopatel, air 1925 Bom 324, a partner was not allowed to recover from his co-partner a part of the losses suffered by the firm because they were due to his own failure to utilize the boats of the firm for plying purposes.

Insidhunarayanaingar verses. ramaswami, ilr 32 Mad 203, it was held that the right to indemnity is not lost by the dissolution of the firm and it is immaterial whether there is or has been no settlement of accounts.

Duties of Partners:

1. Absolute duties

Section 9 and 10 reproduced above, have imposed certain duties which cannot be varied by agreement between the partners. These duties are discussed below:—

1. Duty to carry on the business to the greatest common advantage and to be just and faithful to each other. Section 9 provides that partners are bound to carry on the business of the firm to the greatest common advantage and be just and faithful to each other. Duty to carry on the business to the greatest common advantage and the duty to be just and faithful to each other are two sides of the same coin, which is the duty of good faith. All the endeavors of a partner must be to secure the maximum profits to the firm. He should not try to make a personal profit for himself at the cost of his co-partners. Duty to carry on the business to the greatest common advantage must be read along with the provisions of section 16. If a partner makes any personal profit, he has to account for it to the firm, as making personal profit would be acting not to the greatest common advantage.

2. Duty to render true accounts and full information affecting the firm. According to section 9 a partner is bound to render true accounts and full information of all things affecting the firm to his co-partners or their legal representatives. In other words the partners must make a full and frank disclosure of facts affecting the affairs of the firm to each other. The duty to render accounts is not confined to

submitting statements of accounts, but it includes the duty to handover to the firm the balance of the moneys of the firm which have come in the hands of a partner. He must also be ready to explain to his other partners the true accounts and produce vouchers relating to everything coming into his hands.

If a partner is in possession of more information about the things affecting the firm, he should disclose it to his co-partners. A leading case on this point is *law verses law, (1905) 1 ch. 140*. In this case a partner sold his share in the assets of the firm to his co-partner. Subsequently, he (the vendor) discovered that material information had been concealed from him. Although he was entitled to set aside the sale, he agreed to modify the original bargain. It should be noted that after electing to modify the original bargain, he is bound by that election, and neither he nor his representative after his death can repudiate the sale.

3. Duty to indemnify for fraud. Section 10 provides that "every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business." the section makes the liability, to indemnify' for fraud absolute and not subject to contract, i.e. partners are not allowed to contract themselves out of liability for fraud. though partners may agree amongst themselves that the extent of a partners liability to his co-partners is to be limited or that he is not liable to compensate them for loss occasioned by his wrongful act, omission, neglect, want of skill, misconduct or negligence, but it is not open to them to contract themselves, or any one of them, out of liability for loss occasioned to the firm by fraud.

The purpose of **section 11** is to induce partners to deal honestly with the customers of the firm. If for example, a partner in the ordinary course of the business of firm, commits a fraud upon a customer of the firm, for which the firm (including the innocent partners) is held liable, the firm is entitled to recover indemnity from partner guilty of the fraud. In *campbell verses campbell(1834) 12 sh (city of seas) 573*, scot, the managing partner of a distillery purchased certain quantity of illicit whisky on behalf of the firm. The plaintiff partner, who did not take part in the conduct of the business of the firm, had no knowledge of the purchases. The firm had to pay penalties for purchase of illicit whisky. They were held liable jointly and severally to indemnify the plaintiff against the amount so paid and interest on it.

2. Duties subject to contract to the contrary

The following duties of the partners as laid down in the act are applicable in the absence of a contract to the contrary:

1. Duty of due diligence. section 12 (b) provides that subject to contract between the partners, "every partner is bound to attend diligently to his duties in the conduct of the business." diligent functioning means working with careful effort and absence of carefulness is negligence. But **section 13** provides liability only where there is willful negligence.

2. Duty to indemnify for wilful neglect. Section 13 (f) provides that subject to contract between the partners, "a partner shall indemnify the firm for any loss caused to it by his wilful neglect in the conduct of the business of the firm". Unlike the duty to indemnify for fraud under **section 10**, a partner can contract himself out from this duty. To attract clause (f) the loss caused to the firm must be by

partner's wilful neglect. Mere neglect on the part of partner, i.e. a mere inadvertence or accident, is not sufficient to attract application of this clause and the loss caused has to be due to wilful neglect, i.e. a deliberate, intentional and purposeful commission or omission of a certain act. In case such wilful neglect amounts to fraud provisions of section 10 are attracted.

3. Duty to work without remuneration. According to **section 13 (a)**, subject to contract between the partners, a partner is not entitled to receive remuneration for taking part in the conduct of the business.

4. Duty to contribute to losses. **Section 13(b)** provides that subject to contract between the partners, the partners are bound to contribute equally to the losses sustained by the firm.

5. Duty to apply the property of the firm for purposes of the business of the firm. **section 15** provides that "subject to contract between the partners, the property of the firm shall be held and used by the partners exclusively for the purposes of the business." thus it is a duty of the partners that the property of the firm shall be held and used by them exclusively for the purposes of the business of the firm. If a partner uses the property of the firm for his personal purposes he will be accountable to the firm as per **section 16**, for any private advantage obtained by him. However, the failure of the partner to submit an account of use of partnership property for personal use will not make him liable for criminal breach of trust under **section 409 of the Indian penal code**. In *yeljiraghavjiverses. state of maharashtra, air 1965,*

SC 1433, a partner who was assigned the work of realizing the dues of the partnership, failed to deposit in bank some collections, the supreme court held that he was not liable for criminal breach of trust under section 409, IPC as he was authorized by other partners to spend the money for the business of the firm.

6. Duty to account for personal profits. **Section 16** provides that subject to contract between the partners,—

(a) If a partner derives any profit for himself from any transaction of the firm, or from the use of the property or business connection of the firm or the firm name, he shall account for that profit and pay it to the firm;

(b) if a partner carries on any business of the same nature as and competing with that of the firm, he shall account for and pay to the firm all profits made by him in that business.

Thus the section lays down the following two of the most important duties. They are: (a)

Duty to account for secret profits, and

Q. What is Partnership deed? What is partnership at will? Is registration compulsory for a partnership firm? Discuss the effect of non-registration of a firm

The document in which the respective rights and obligations of the members of a partnership are set forth is called a 'partnership deed'. It should be drafted with care and be signed by all the partners. It must be stamped in accordance with the Indian Stamp Act.

The Deed should cover the following points:

- (i) The name of the firm and the names and addresses of partners who compose it.
- (ii) Nature of business and the town and place where it will be carried on.
- (iii) Date of commencement of partnership.
- (iv) The duration of partnership.
- (v) The amount of capital to be contributed by each partner and the methods of raising finance in future if so required.
- (vi) The ratio of sharing profits and losses.
- (vii) Interest on partners' capital, partners' loan, and interest, if any, to be charged on drawings.
- (viii) Salaries, commissions etc., if any, payable to partners.
- (ix) The method of preparing accounts and arrangement for audit and safe custody of cash etc.
- (x) Division of task and responsibility, i.e., the duties, powers and obligations of all the partners.
- (xi) Rules to be followed in case of retirement, death and admission of a partner.
- (xii) Expulsion of partners in case of gross breach of duty or fraud.
- (xiii) Can a partner carry on a competing business or any other business whether competing or not.
Section 11 (2) clearly provides that the Deed may provide that a partner shall not carry on any business other than that of the firm while he is partner, notwithstanding anything contained in Section 27 of the Indian Contract Act where agreements in restraint of trade are void.
- (xiv) The circumstances under which the partnership will stand dissolved.
- (xv) Arbitration in case of dispute among the partners.

The terms laid down in the Deed may be varied by consent of all the partners, and such consent may be expressed or may be implied by a course of dealing [**Sec. 11(1)**].

Partnership-at-will: Defined under section 7 of Indian Partnership Act, 1932

Partnership-at-will is a partnership which is formed to carry on business without specifying any period of time. The life of such a partnership continues as long as the partners are willing to continue it as such. The partnership can be terminated, if any partner notifies his desire to quit.

Section 7 provides that where there is a provision in the contract for the duration of partnership, the partnership is not at will. Similarly, if there is a provision in the contract for the determination of partnership, it is not partnership at will. Thus section 7 recognizes two exceptions to the partnership at will.

The duration of partnership can be expressly provided in the contract or it may be implied from the conduct of the parties. The same principle applies to a case determination.

Inudumanverses. aslum, (1991) the partnership deed provided that the partnership was to continue till there were two partners. The Supreme Court held that this was a provision as to duration and therefore, the firm was not "at will". Therefore, a suit for dissolution on the basis of notice was not maintainable.

Inkarmuthuthiagarajanchettiarverses. emmuthappachettiar, the partnership deed provided that in case of death or retirement of a partner his legal heirs would be admitted on the same terms; that the death would not dissolve the firm and the same would be carried on by the remaining partners along with legal heirs; that retirement would require six months' notice; that on retirement etc. there would be no valuation of assets and the outgoing partner would get only the amount standing to the credit side of his account at the time. The Supreme Court held that the partners never intended that the partnership be dissolved at the sweet will of any of the partners, rather their intention was that the business should continue as long as possible, notwithstanding death or retirement of the partner.

Section 32(I)(c) of the act provides that a partner may retire where the partnership is at will, by giving notice in writing to all other partners of his intention to retire. Section 43(1) provides that where the partnership is at will, the firm may be dissolved by any partner by giving notice in writing to all other partners of the intention to dissolve the firm. Section 43(2) provides that the firm is dissolved as from the date mentioned in the notice as the date of dissolution or, if no date is mentioned, as from the date of communication of the notice.

Innarayanlalbansilalpittiverses. tarabaimotilal, (1970), the partnership business, was agreed to be for two years; whether this was extended for another three years or whether there was an agreement under which one partner was to pay out the other, over this question the trial court dismissed the suit, the high court reserved it and the supreme court restored the order of the trial court. It was held that there was no agreement to extend the partnership for the next three years.

In gobardhanchakrabortyverses. abanimohan, a firm formed for obtaining a license for running a cinema hall has been held to be partnership at will.

REGISTRATION OF A FIRM: In India, there is no need to register a partnership deed. This is the short answer, as specified under part VII of the Indian Partnership Act, 1932

It is optional for the firm to get itself registered or not. However, **Section 69** puts down certain disabilities to a non-registered firm which normally forces the partners to get the firm registered. The effects of non-registration are as follows:

(a) **No suit by a partner against other partners or firm** – a partner of an unregistered firm cannot sue the firm or any partner of the firm to enforce a right arising from the contract or conferred by the Partnership Act. He can do so only if the firm is registered and the person suing is shown as a partner in the register of firms.

(b) **No suit against any third party** – an unregistered firm cannot sue a third party to enforce a right arising from a contract. The firm can only do so if the firm is registered and the person suing is shown as a partner in the register of firms.

(c) **No right to counter claim or to claim setoff** – an unregistered firm or any partner thereof cannot claim setoff in the proceedings instituted against a firm by a third party to enforce a right arising from a contract. Setoff means a claim by the firm which would reduce the amount of money payable to the claimant.

(d) **Arbitration proceedings** – in **Jagdish Chandra Gupta Vs. Kajaria Traders (India) Limited** it was held that arbitration proceedings were barred if the firm was unregistered.

In **halidrambhujiwala verses anantkumardeepakkumar**, it was held that the handicap caused by **section 69** can be overcome by getting the firm registered before the suit is filed. It cannot be rectified by subsequent registration. A fresh suit will have to be filed after registration provided that is still within the period of limitation.

In **hind trading and mgs. co. verses didi modes (p) ltd.**, it was held that if the reconstitution of the firm is notified to the registrar, the firm continues to enjoy the status of a registered firm. **Section 69(2)** is also not applicable in case of rights arising independently of contract, i.e., they remain enforceable.

In **virendra dresses verses varinder garments**, an action was instituted by an unregistered to restrain the defendant firm committing an infringement of the firm's trade mark. It was held that the suit was maintainable.

In **padamsinghjain verses chandra brothers**, it was held the rights conferred on a landlord by a tenancy legislation are statutory rights and where the landlord is a partnership firm it can bring a suit for the eviction of a tenant on a statutory ground whether the firm is registered or not.

In **sharadvasantkotak verses ramnilalmohanlalchawla, (1948)**, **section 69 (2-a)**, as amended in the state of Maharashtra, requires two conditions before a partner can sue for dissolution of a firm and for accounts: 1. the firm must be registered.

2. The person suing is or has been shown in the register of Firms as partner in the firm.

Non registration of the firm however, does not affect the following rights:

- (i) The right of a third party to sue the unregistered firm or its partners.
- (ii) The right of a partner to sue for dissolution of a firm or for accounts of a dissolved firm or any right to realized the property of the dissolved firm.

- (iii) The Power of an official assignee or court receiver to realize the property of an insolvent partner.
- (iv) The right of a firm or partners of a firm having no place of business in India.
- (v) The right of an unregistered firm to enforce a right arising otherwise than out of a contract.
- (vi) One partner can bring a suit for damages for misconduct against the other partner.
- (vii) The right to claim Setoff in a suit for an amount not exceeding Rs.100/- in value.

Q. What is the position of Minor as against a firm as per the Indian Partnership Act? Discuss. If after attaining majority, the minor beneficiary fails to inform the firm about his intentions, what would be the consequences?

MINORS ADMITTED TO THE BENEFITS OF PARTNERSHIP

The position of a minor in a partnership is dealt with in s.30 of the Indian partnership act, 1932 which is reproduced below:—

"30 minors admitted to the benefits of partnership.—(1) a person who is a minor according to the law to which he is subject may not be a partner in a firm, but with the consent of all the partners for the time being, he may be admitted to benefits of partnership.

- (2) Such minor has a right to such share of the property and of the profits of the firm as may be agreed upon, and he may have access to and inspect and copy any of the accounts of the firm.
- (3) Such minor's share is liable for the act of the firm, but the minor is not personally liable for any such act.
- (4) such minor may not sue the partners for an account or payment of his shares of the property or profits of the firm, save when severing his connection with the firm, and in such case the amount of his share shall be determined by a valuation made as far as possible in accordance with the rules contained in **section 48**:

provided that all the partners acting together or any partner entitled to dissolve the firm upon notice to other partners may elect in such suit to dissolve the firm, and thereupon the court shall proceed with the suit as one for dissolution and for settling accounts between the partners, and the amount of the share of the minor shall be determined along with the shares of the partner.

- (5) at any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, such persons may give public notice that he has elected to become or that he has elected not to become a partner in the firm. And such notice shall determine his position as regard the firm:

Provided that, if he fails to give such notice, he shall become a partner in the firm on the expiry of the said six months.

(6) Where any person has been admitted as a minor to the benefits of partnerships in affirm, the burden of proving the fact, that such person had no knowledge of such admission until a particular date after the expiry of the six months of his attaining majority shall lie on the persons asserting that fact.

(7) Where such person becomes a partner:—

(a) his right and liabilities as a minor continue up to the date on which he become a partner, but he also becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership, and

(b) His share in the property and profits of the firm shall be share to which he was entitled as a minor.

(8) Where such person elects not to become a partner:-

(a) His rights and liabilities shall continue to be those of a minor under this section up to the date on which he gives public notice,

(b) His share shall not be liable for any acts of the firm done after the date of the notice, and

(c) He shall be entitled to sue the partners for his share of the property and profits in accordance with sub-section (4).

Nature of Minor's Agreement

An agreement enforceable by law i.e. a contract is an essential element for the existence of partnership. **Section 11** of the Indian contract act, 1872, provides that a person must be competent to contract for entering into a contract. After *mohoribeeverses. dharmodasghose, pc (1903) 30 ia 114: ilr 30 cal 539* it is settled law in India that a minor is incompetent to contract within the meaning of the Indian contract act, 1872. **Section 30** of the Indian partnership act does not render a minor competent to contract. Therefore, a minor cannot enter into an agreement of partnership as an agreement with a minor is absolutely void. A guardian of a minor also cannot enter into an agreement of partnership on behalf of his ward to make a minor full-fledged partner.

Admission of minor to benefits of existing firm

Sub-section (1) lays down that a minor cannot become a partner though, with the consent of all the partners for the time being. He may be admitted to the benefits of partnership in an existing firm. There must be either an express agreement between the partners to admit the minor to the benefits of partnership or there must be some positive conduct on their part from which it can be inferred that they agreed to so admit the partner. Allotment of a share or distribution of a part of the profits of the firm to a minor or something of an analogous character is indicative of admission of a minor to the benefits of partnership. In *shri ram sardarmalidwani verses. gourishanker, air 1961 bom. 136*, it was held that

there must be a partnership of at least two partners before a minor can be admitted to the benefits of partnership.

Thus there are two pre-requisites of admission of a minor to the benefits of the partnership firm. They are: (1) *there should be an existing firm and (2) all the partners must have consented the admission of a minor.*

In **official assignee, madras verses. palaniappachetty, (1918) ILR 41 madras 824**, a Hindu father started a business during the minority of his undivided son. The business was continued after the son became a major. The son helped his father in the business during his minority. He was taking active part after attaining majority. It was held that the mere fact that the minor rendered help in the joint family business is not enough to show that he was admitted to the benefits of partnership. Therefore, the son was held not liable for debts incurred by the firm during his minority. To make him personally liable in debts incurred during minority it would be necessary to prove that there was a partnership and he was admitted into it. However, he was held liable in the debts incurred after attaining majority as he was taking active part in the joint family business.

Admission of a minor to the benefits of the partnership business implies some definite act such as the allotment of a share to him or the distribution of a part of the profits to him or something of an analogous character. It is something more than a mere incident, of birth in a particular family.

In **lachminarayan verses. beni ram**, there was a partnership firm of two partners. One of them died. It was held that the minor son of the deceased partner cannot enter into a contract with surviving partners to firm partnership.

In **clt verses. dwarkadaskhetan & co**, it was held that a minor cannot become a full-fledged partner in an existing firm.

In **dhararnvir verses. jagannath, air 1968 punj 84**, it was held that a minor is not a partner even if he is so described in the agreement. Partnership agreement, to which a minor is party contrary to s.30 of the partnership act, would be invalid. Even for the purpose of taking accounts, effect cannot be given to such an invalid document *qua* the major partners as that will require re-writing of the contract and compelling the major partners to do something contrary to express terms thereof.

In **clt verses. Shah mohandassadhuram, AIR 1966 SC 15**, it was held that a partnership deed that attempts to make a minor a full-fledged partner is invalid to that extent. It was further held in this case that as long as a partnership deed does not make a minor a full partner it cannot be regarded as invalid on the ground that a guardian has purported to contract on behalf of a minor. Earlier in **cit verses shahjethajiphulchand**, it was held that a guardian can agree on behalf of a minor for constituting a firm into which a minor would be admitted to the benefits of partnership (and not as full-fledged partner).

A summary view of the rights and liabilities of a minor admitted to the benefits of partnerships is as under:—

(1) **Right to share profits.** A minor is entitled to the agreed share of the property and of the profits of the firm [s.30 (3)].

(2) **right to access books of accounts.** He has right of access to books of accounts. He can inspect and copy them. However, he cannot have access to any other book, if maintained by the firm, since the same may contain a secret of the firm and the minor's knowledge of the same may be detrimental to the interest of the firm [section 30(2)].

(3) **Right to sue for accounts or share after severing connection with the firm.** A minor does not have the right to sue the partners for an account or payment of his share of property or profits till he remains in the firm. On severing connections with the firm, the minor becomes entitled to sue the other partners for accounts, payment of his share of profits and property [section 30(4)].

(4) **Liability of a minor.** The minor's share of the profits and in the property of the firm is liable for the acts of the firm. he is not personally liable for any such acts [section 30(3)]. therefore, if the assets of the firm are not sufficient to meet the liabilities of the firm, then, surplus private estate of other partners (and not that of the minor) will be used to meet the 'firm's debts. **Rights and liabilities of such minor on attaining majority**

a minor admitted to the benefits of partnership, according to sub-section (5) has a right to elect to become or not to become a partner in the firm at any time within six months of his attaining majority or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever is later, by giving a public notice to that effect, and such a notice will determine his position as regards the firm. Proviso to this sub-section provides that if he fails to give such notice within the required period he will be deemed to have elected to become a partner in the firm.

In *shiva Gouda rayjipatel verses chanderkantneelkanthsadatge*, it was held that "it is implicit in term of **sub-section (5) of section 30** of the partnership act that the partnership is in existence. A minor after attaining majority cannot elect to become a partner of a firm which ceased to exist." thus, the minor cannot exercise the option where, before the expiry of vital six months, the firm is dissolved. In such a case the minor would remain what he was, that is, a partner with share committed to liability, but no personal liability. **Section 45** applies only to partners of the firm. In this case a firm consisting of two partners. A minor was admitted to the benefits of the partnership firm. The appellant supplied certain goods to the firm on credit. Before satisfying the claim of the appellant the firm was dissolved. Subsequently the minor attained majority and did not exercise the option to become a partner. The appellant could not recover the dues from the partners. The minor was held not personally liable/

Sub-section 6 provides that where any person has been admitted as a minor to the benefits of partnership in a firm, the burden of proving the fact that such person had no knowledge of such admission until a particular date, after the expiry of six months of his attaining majority shall lie on the person asserting the fact.

Sub-section (7) deals with the rights and liabilities of such minor where he becomes a partner either by his own election or by his failure to give notice within the stipulated period of six months or of his obtaining knowledge, whichever is later. It provides as follows:—

- (a) The rights and liabilities of such a person *vis-a-vis* other partners will continue as that of a minor up to the date on which he becomes a partner. But he becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership.
- (b) His share in the property and profits of the firm remains the same as that to which he was entitled as a minor.

Sub-section 8 deals with the rights and liabilities of a minor where he elects not to become a partner by giving a notice to that effect. The sub-section provides as follows:—

- (a) His rights and liabilities shall continue to be those of a minor under this section (**section 30**) up to the date on which he gives public notice.
- (b) His share shall not be liable for any acts of the firm done after the date of the notice.

Q. Define Particular Partnership.

When a partnership is formed for the object of conducting a particular business, it is called particular partnership. (Sec. 17) The particular undertaking cannot be extended to any other enterprise and this would last only so long as the business is not completed. But if the partnership firm goes to carry on other business then in the absence of an agreement to the contrary, the rights and duties of the member in the new undertaking will continue to be the same as in the earliest enterprises.

Q. Mention any six acts not falling within the implied authority of partner. Discuss the legal provisions relating to expulsion of a partner

Implied authority of a partner

A partner's authority may be express or implied. An authority is said to be express when it is given by words, spoken or written. It is implied where there is no express agreement between the partners, in which case, the law impliedly gives certain powers to a partner and also negatives certain other powers as regards partners. The word "implied" suggests that authority of a partner which is apparent from his position in a partnership firm in relation to the business of the firm. **Section 19** deals with the subject of implied authority of a partner. It is reproduced below:—

"19. implied authority of a partner as agent of the firm.—(1) subject to the provisions of **section 22**, the act of a partner which is done to carry on, in the usual way, business of the kind carried on by the firm, binds the firm.

Thus a partner, in the case of a trading firm, in the exercise of his implied authority, can bind the firm by any of the following acts:

- (1) He may draw, make, sign, endorse, accept, transfer, negotiate and procure to be discounted, promissory notes, bills of exchange, cheques and other negotiable paper in the name and on account of the partnership firm. A partner of a non-trading firm does not ordinarily possess the power to bind his copartners by drawing or accepting bills of exchange. Therefore, a partner of a non-trading firm cannot in the exercise of implied authority bind his copartners by giving a post-dated cheque.
- (2) He may borrow money for the purposes of the business of the firm,
- (3) He may pledge or sell moveable property of the firm,
- (4) He may buy goods on account of the firm which are necessary for or usually required for the purposes of the business of the firm,
- (5) He may receive payment of debts on account of the firm and give valid discharge by issuing a receipt for the same,
- (6) He may pay debts on account of the partnership firm,
- (7) He may employ servants for the partnership.
- (8) He may sue on behalf of the firm and for this purpose may engage a lawyer. Similarly he can defend a suit brought against the firm and may engage a lawyer for this purpose.

In an ordinary partnership, a partner may bind the firm by any of the acts mentioned in (4) to (7) above.

All the partners of a firm can ratify an act of a partner, which has been done in excess of his implied authority or without any authority, provided the act is such that it can be legally done by the authority of all the partners previously given.

Statutory restrictions on implied authority

Sub-section (2) of section 19 provides certain acts which do not, in the absence of any usage or custom of trade to the contrary, fall within the implied authority of a partner. Thus a partner is **not authorised** to do these acts without consulting the other partners. The sub-section says that "in the absence of any usage or custom of trade to the contrary, the implied authority of a partner does not empower him to—

- (a) Submit a dispute relating to the business of the firm to arbitration,
- (b) Open a banking account on behalf of the firm in his own name, (c)
Compromise or relinquish any claim or portion of claim by the firm.

(d) Withdraw a suit or proceeding filed on behalf of the firm. (e)

Admit any liability in a suit or proceeding against the firm,

(f) Acquire immovable property on behalf of the firm.

Grounds for Expulsion of partners

Ideally the grounds for expelling a partner from the partnership will be set forth in detail in the partnership agreement. The agreement may provide that a partner may be expelled upon vote of the other partners for any reason or no reason. Or, it may specify certain reasons for expulsion, such as:

- breaching the partnership agreement or otherwise failing to carry out the partner's obligations under the agreement
- being charged with, or convicted of, a crime
- professional misconduct, or
- Filing for bankruptcy.

The agreement should also specify how the decision to expel is to be made—for example, whether a majority vote is sufficient or a unanimous vote (not counting the partner to be expelled) will be required. Unfortunately, not all partnership agreements address expulsion; and some partners don't even have a written agreement. In some states, if partners don't have a written agreement that provides for expulsion, the only way to expel a partner is to dissolve the partnership and start a new partnership.

The partners may expel a fellow partner by unanimous vote if:

- the partner transfers substantially all of his or her partnership interest (other than as security for a loan)
- it is unlawful to carry on the business with that partner
- a corporate partner ceases being a corporation in good standing
- a partnership that is a partner has been dissolved and its business is being wound up, or
- The partner's interest in the partnership becomes subject to a charging order.

In addition, in most states, the partnership itself, or any individual partner, may go to court and obtain a court order expelling a partner if:

- the partner engaged in wrongful conduct that adversely and materially affected the partnership business
- the partner materially and willfully breached the partnership agreement, or

- The partner's conduct makes it not reasonably practicable to carry on the partnership business with that partner.

THE SALE OF GOODS ACT, 1930

Q. Distinguish between sale and agreement to sale.

Basis for Comparison	Sale	Agreement to sell
Meaning	When in a contract of sale, the exchange of goods for money consideration takes place immediately, it is known as Sale.	When in a contract of sale the parties to contract agree to exchange the goods for a price at a future specified date is known as an Agreement to Sell.
Nature	Absolute	Conditional
Type of Contract	Executed Contract	Executory Contract
Transfer of risk	Yes	No
Title	In sale, the title of goods transfers to the buyer with the transfer of goods.	In an agreement to sell, the title of goods remains with the seller as there is no transfer of goods.
Right to sell	Buyer	Seller

Consequences of subsequent loss or damage to the goods	Responsibility of buyer	Responsibility of seller
Tax	VAT is charged at the time of sale.	No tax is levied.
Suit for breach of contract by the seller	The buyer can claim damages from the seller and proprietary remedy from the party to whom the goods are sold.	Here the buyer has the right to claim damages only.
Right of unpaid seller	Right to sue for the price.	Right to sue for damages.
Example	Suppose Miss. Rina enters into contract of sale of horse in the hand of Mr. Guru against Rs. 30,000. Mr. Guru pays Rs. 30,000 to Miss. Rina and she delivers her horse to Mr. Guru. It is a sale.	Suppose Miss. Poonam agrees with Mr. Mirza to sell him her house against Rs. 30 lac after the construction next year.

Q. Define unpaid seller and discuss his rights.

The seller of goods is deemed to be unpaid **(Sec. 45-1)**

I. When whole of the price has not been paid or tendered.

II. When the bill of exchange or negotiable instrument has been received as a condition of payment and the condition on which it was received has not been fulfilled by the reason of dishonor of the instrument or otherwise.

Features of the unpaid seller

I. He must sell goods on the cash basis and must be unpaid

II. If he sells on credit basis, he is not an unpaid seller during the period of credit.

III. The term of credit has expired and the price has not been paid to him.

IV. He must be unpaid wholly or partially. If a part of price remains unpaid, he is unpaid.

V. When the price is paid in the form of negotiable instruments and it has been dishonored. VI. If buyer offers payment and seller refuses to accept, the seller is not an unpaid seller **Example:**

I. Party A sells a car on cash basis to party B and the price has not been received yet.

II. A sells good to B on 5 months credit period and B turns insolvent after 2 months.

III. A sells TV set to B on the same day cheque basis, the cheque is dishonored due to insufficient funds. A is an unpaid seller.

1. Rights of Unpaid Seller against the Goods.

An unpaid seller has the following rights against the goods notwithstanding the fact that the property in the goods has passed to the buyer:

1. Right of lien;
2. Right of stoppage of goods in transit;
3. Right of resale [Sec. 46 (1)].

1. Right of lien (Sec. 47)

'Lien' is the right to retain possession of goods and refuse to deliver them to the buyer until the price due in respect of them is paid or tendered. An unpaid seller in possession of goods sold is entitled to exercise his lien on the goods in the following cases:

- (a) Where the goods have been sold without any stipulation as to credit;
- (b) Where the goods have been sold on credit, but the term of credit has expired;
- (c) Where the buyer becomes insolvent, even though the period of credit may not have yet expired.

In the case of buyer's insolvency the lien exists even though goods had been sold on credit and the period of credit has not yet expired. When his goods are sold on credit the presumption is that the buyer shall keep his credit good. If, therefore, before payment the buyer becomes insolvent, the seller is entitled to exercise this right and hold the goods as security for the price.

The effect of buyer's insolvency is that all stipulations as to credit are put to an end and the seller has a right to say, "I will not deliver the goods until I see that I shall get my price paid" (**Griffiths vs Perry**)

The unpaid seller's lien is a possessory lien, i.e., the lien can be exercised as long as the seller remains in possession of the goods. He may exercise his right of lien notwithstanding that he is in possession of the goods as agent or bailee for the buyer [Sec. 47(2)]. Transfer of property in the goods or transfer of documents of title to the goods does not affect the exercise of this right, provided the goods remain in the actual possession of the seller. In fact when property has passed to the buyer then only retaining of goods is called technically 'lien.' Where the property in goods has not passed to the buyer and the title is still with the seller then it is, strictly speaking, anomalous to say that the seller has a lien against his own goods. The seller's lien when property has not passed to the buyer is termed as 'a right of withholding delivery. Accordingly, **Section 46(2)** provides:

The term insolvent here does not mean a person who has been adjudged insolvent under the Insolvency Law. In Sale of Goods Act "a person is said to be insolvent who has ceased to pay his debts in the ordinary course of business, or cannot pay his debts as they become due, whether he has committed an act of insolvency or not" [Sec. 2(8)].

But if the buyer has transferred the documents of title to a bonafide purchaser, the seller's lien is defeated (**Sec. 53**).

This right of lien can be exercised only for the non-payment of the price and not for any other charges, i.e., maintenance or custody charges, which the seller may have to incur for storing the goods in exercise of his lien for the price. This right of lien extends to the whole of the goods in his possession even though part payment for those goods has already been made. In other words the buyer is not entitled to claim delivery of a portion of the goods on payment of a proportionate price. Further, where an unpaid seller has made part delivery of the goods, he may exercise his right of lien on the remainder, unless such part delivery has been made under such circumstances as to show an agreement to waive the lien (**Sec. 48**). Also, the lien can be exercised even though the seller has obtained a 'decree' for the price of the goods [**Sec. 49(2)**].

When lien is lost? As already observed, lien depends on physical possession of goods. Once the possession is lost, the lien is also lost. **Section 49** accordingly provides that the unpaid seller of goods loses his lien thereon in the following cases:

- (a) When he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal of the goods; or
- (b) When the buyer or his agent lawfully obtains possession of the goods; or
- (c) When the seller expressly or impliedly waives his right of lien. An implied waiver takes place when the seller grants fresh term of credit or allows the buyer to accept a bill of exchange payable at a future date or assents to a sub-sale which the buyer may have made.

It may be noted that right of lien, if once lost, will not revive if the buyer redelivers the goods to the seller for any particular purpose. Thus, where a refrigerator after being sold was delivered to the buyer and since it was not functioning properly, the buyer delivered back the same to the seller for repairs, it was held that the seller could not exercise his lien over the refrigerator (**Eduljeevs John Bros.**).

2. Right of Stoppage of Goods in Transit:

The right of stoppage in transit means the right of stopping the goods while they are in transit, to regain possession and to retain it till the full price is paid. **Lord Cairns LJ in case of Schotsmans v. Lances and Yorks Rly.** Had made the following observation in this regard:

"The essential feature of stoppage in transit is that the goods should be in the possession of a middleman or some other person intervening between the vendor who has parted with and the purchaser who has not received them."

Conditions under which Right of Stoppage in Transit can be Exercised[Section 50]: The unpaid seller can exercise the right of stoppage in transit only if the following conditions are fulfilled:

- (i) The seller must have parted with the possession of goods, i.e., the goods must not be in the possession of seller.
- (ii) The goods must be in the course of transit.
- (iii) The buyer must have become insolvent.

Note: The seller's right of stoppage in transit is based on the principle that one man's goods shall not be applied to the payment of other man's debt. **[Lord Reading in Booth Steamship Co Ltd. V. Cargo Fleet Iran Co.]**

Duration of Transit [Section 51(1)]: Goods are deemed to be in course of transit from the time when they are delivered to a carrier or other bailee for the purpose of transmission to the buyer, until the buyer or his agent in that behalf takes delivery of them from such carrier or other bailee.

Note: The carrier must hold the goods in the capacity of an independent person and not in the capacity of an agent for the seller or buyer. If the carrier holds the goods as an agent for the seller, there is no question of exercising the right of stoppage in transit because the seller can exercise his right of lien. If the carrier holds the goods as an agent for the buyer, the seller cannot exercise the right of stoppage in transit because the delivery to the carrier amounts to delivery to buyer.

3. Right of Resale

The right of resale is a very valuable right given to an unpaid seller. In the absence of this right, the unpaid seller's other rights against the goods, namely, 'lien' and 'stoppage in transit,' would not have been of much use because these rights only entitle the unpaid seller to retain the goods until paid by the buyer. If the buyer continues to remain in default, then should the seller be expected to retain the goods indefinitely, especially when the goods are perishable? Obviously, this cannot be the intention of the law. **Section 54**, therefore, gives to the unpaid seller a limited right to resell the goods in the following cases:

- (a) Where the goods are of a perishable nature; or
- (b) Where such a right is expressly reserved in the contract in case the buyer should make a default;

II. Rights of Unpaid Seller against the Buyer Personally

The unpaid seller, in addition to his rights against the goods as discussed above, has the following three rights of action against the buyer personally:

- 1. Suit for price (Sec. 55).** Where property in goods has passed to the buyer; or where the sale price is payable 'on a day certain', although the property in goods has not passed; and the buyer wrongfully neglects or refuses to pay the price according to the terms of the contract, the seller is entitled to sue the buyer for price, irrespective of the delivery of goods. Where the goods have not been

delivered, the seller would file a suit for price normally when the goods have been manufactured to some special order and thus are unsaleable otherwise.

2. Suit for damages for non-acceptance (Sec. 56). Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may sue him for damages for non-acceptance. The seller's remedy in this case is a suit for damages rather than an action for the full price of the goods.

The damages are calculated in accordance with the rules contained in **Section 73 of the Indian Contract Act**, that is, the measure of damages is the estimated loss arising directly and naturally from the buyer's breach of contract. Where the goods have a ready market the principle applicable is that the seller may recover from the buyer damages equal to the difference between the contract price and the market price on the date of the breach of the contract. Thus, if the difference between the contract price and market price is nil, the seller can get only nominal damages (**Charter vs Sullivan**). But where the goods do not have any ready market, the measure of damages will depend upon the facts of each case.

For example, in **Thompson Ltd. Vs Robinson** the damages were assessed on the basis of profits lost. In that case, T Ltd., who were car dealers, contracted to supply a motorcar to R.R refused to accept delivery. It was found as a fact that the supply of cars exceeded the demand at the time of breach and hence in a sense there was no market price on the date of breach. Held, T Ltd., were entitled to damages for the loss of their bargain viz., the profit they would have made, as they had sold one car less than they otherwise would have sold.

1. Suit for special damages and interest (Sec.61) This Section entitles the seller to sue the buyer for 'special damages' also for such loss "which the parties knew, when they made the contract, to be likely to result from the breach of it." In fact the Section is only declaratory of the principle regarding 'special damages' laid down in Section 73 of the Indian Contract Act. The Section also recognizes unpaid seller's right to get interest at a reasonable rate on the total unpaid price of the goods sold, from the time it was due until it is actually paid. (**Telu Ram Jain vs Aggarwal & Sons**).

(a) Suit for Damages for Non-delivery [Section 57] where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for damages for non-delivery.

(b) Suit for Specific Performance [Section 58] in any suit for breach of contract to deliver specific or ascertained goods, the court may direct that the contract shall be performed specifically.

(c) Suit for Breach of Warranty [Section 59] Where there is a breach of warranty by the seller, or where the buyer elects or is compelled to treat any breach of a condition on the part of the seller as a breach of warranty, the buyer is not by reason only of such breach of warranty entitled to reject the goods, but he may – (i) Set up against the seller the breach of warranty in diminution or extinction of the price; or (ii) Sue the seller for damages for breach of warranty.

Note: The fact that a buyer has set up a breach of warranty in diminution or extinction of the price does not prevent him from suing for the same breach of warranty if he suffered further damage. [Section 59(2)]

Example: X sold a second hand Radio to Y who spent Rs 100 on the repair of this Radio. This Radio was seized by the police as it was a stolen one. Y filed a suit against X for recovery of damages for breach of warranty of quiet possession including the cost of repairs. It was held that Y was entitled to recover the same. **[Mason v. Birmingham]**

(d) Right to Treat the Contract as Rescinded or Operative in Case of Repudiation of Contract by Seller before due Date [Section 60] Where seller repudiates the contract before the date of delivery, the buyer may either treat the contract as subsisting and wait till the date of delivery, or he may treat the contract as rescinded and sue for damages for the breach.

(e) Suit for Interest [Section 61(2)] In case of breach of the contract on the part of the seller, the buyer may sue the seller for interest from the date on which the payment was made.

Q. Explain Caveat Emptor. Stating exceptions if any.

The phrase *Caveat Emptor* means “let the buyer beware.” The doctrine of caveat emptor is enshrined in **Section 16 of the Sale of Goods Act, 1930. This doctrine of caveat emptor is based on the fundamental principle that once a buyer is satisfied with the product’s suitability, then he has no subsequent right to reject such product.** The objective of introducing this provision was to ensure that the buyer purchases the product at his own risk after being assured of the quality of the product. He is required to use his own skill and judgment except in cases of fraud where the doctrine of caveat emptor does not apply.

Statement of Caveat Emptor

Section 16 of the Sale of Goods Act 1930 incorporates the principle of caveat emptor which reads as-

“Subject to the provisions of this act or any other law for the time being in force there is no implied condition or warranty as to quality or fitness for any particular purpose of goods supplied.”

Scope of Caveat Emptor

In **Ward v. Hobbes (1878) 4 AC 13**, the House of Lords held that a vendor cannot be expected to use artifice or disguise to conceal the defects in the product sold, since that would amount to fraud on the vendee; yet the doctrine of caveat emptor does not impose duty on vendor to disclose each and every defect in the product. The caveat emptor imposes such obligation on vendee to use care and skill while purchasing such product.

In **Wallis v. Russel (1902) 2 IR 585**, the Court of Appeal explained the scope of *caveat emptor*-

“Caveat emptor does not mean in law that the buyer must “take a chance,” it means he must “take care.” It applies to the purchase of specific things, e.g. a horse, or a picture, upon which the buyer can, and usually does, exercise his own judgment; it applies also whenever the buyer voluntarily chooses what he buys; it applies also whereby usage or otherwise it is a term of the contract, that the buyer shall not rely on the skill or judgment of the seller.”

Exceptions to the Rule of Caveat Emptor

1. **Section 16(1) – Fitness for buyer’s purpose:** Sub section (1) of Section 16 of the said Act prescribes the circumstances in which the seller is obliged to supply goods to the buyer as per the purpose for which he intends to make a purchase. It states that when the seller either expressly or by necessary implication is aware of the purpose for which buyer makes purchase thereby relying on seller’s skill and judgment and the goods to be purchased are of a description which the seller in his ordinary course of business supply, then there is as implied condition that the goods shall be reasonably in accordance with the purpose

Requirements of the Section 16(1) are as follows:-

- The buyer should make the seller aware of the particular purpose for which he is making purchase;
- The buyer should make purchase on the basis of seller’s skill or judgment;
- The goods must be of a description which it is in the course of the seller’s business to supply.

In the case of ***Shital Kumar Saini v. Satvir Singh***, the petitioner purchased a compressor with one year warranty. The defect appeared within three months. The petitioner asked for a replacement. The seller replaced it but without providing any further warranty. The State Commission allowed it to be rejected stating that there was an implied warranty guaranteed under **Section 16 of the Sale of Goods Act, 1930** that the goods should be reasonably fit for the purpose for which they are sold.

Sale under Trade Name[Proviso to S. 16 (1)] Sometimes a buyer purchases goods not on the basis of skill and judgment of the seller but by relying on the trade name of the product. In such case, it would be unfair to burden the seller with the responsibility for quality.

Merchantable quality [Section 16(2)] The second important exception to the doctrine of caveat emptor is incorporated in Section 16(2) of the Act. The Section provides that the dealer who sells the goods has a duty to deliver the goods of merchantable quality.

Meaning of Merchantable Quality: Merchantable quality means that if the goods are purchased for resale they must be capable of passing in the market under the name or description by which they are sold.

Merchantable quality depends on two factors:-

- **Marketability-** Merchantability does not merely mean that the goods shall be marketable, but that they shall be marketable at their full value. “Merchantability does not mean that the things are saleable in the market because it looks all right; it is not merchantable in that event if it has defects unfitting it for its only proper use but not apparent on ordinary examination.”
- **Reasonable fitness for general purposes-**“Merchantable quality” means, in the second place, that if the goods are purchased for self-use, they must be reasonably fit for the purpose for which they are generally used. Example: The plaintiff bought a hot-water bottle which is ordinarily used for application of heat to the human the bottle burst scalding the plaintiff’s wife. The seller was held liable.

Examination by buyer [Proviso to S.16 (2)]The proviso to section 16(2) declares that “if the buyer has examined the goods, there shall be no implied condition as regards defects which such examination ought to have revealed. The requirement of the proviso is satisfied when the seller gives the buyer full opportunity to examine the goods and whether the buyer made any use of the opportunity or not should make no difference.

Conditions implied by trade usage [Sec. 16(3)]Sub-Section (3) of section 16 gives statutory force to conditions implied by the usage of a particular trade.

In another case of *Peter Darlington Partners Ltd v Gosho Co Ltd*, where a contract for the sale of canary seed was held subject to the custom of the trade that for impurities in the seed, the buyer would get a rebate on the price, but would not reject the goods.

However, an unreasonable custom will not, however, affect the parties’ contract.

Express Terms [Section 16(4)]It is open to the parties to include any express conditions or warranties in their contract. But an express warranty or condition does not negative a warranty or condition implied by the Act unless the express terms are inconsistent with the implied conditions. Thus, where sleepers supplied to a railway company were required to be approved by its experts, it was held that it did not exclude the implied condition of merchant ableness.

Q. Explain ‘NemoDat Quad Non Habet’. Stating exceptions if any.

Nemodat quod non habet, literally meaning “*no one gives what he doesn’t have*” is a legal rule, sometimes called the nemodat rule, which states that the purchase of a possession from someone who has no ownership right to it also denies the purchaser any ownership title.

Section 27: Sale by person not the owner. -

Section 27, as a general rule, tries to protect the interest of the true owner when it provides that where the goods are sold by a person who is not the owner thereof and who does not sell them under the authority or with the consent of the owner, the buyer acquires no better title to the goods than the seller has.

If the title of the seller is defective, the buyer's title will also be subject to the same defect. The rule does not imply that buyer's title will always be a bad one. What it means is that the buyer cannot acquire a superior title to that of the seller. If a thief disposes of stolen goods, the buyer of such goods has the same title as the seller had. Similarly, where a person taking goods on hire- purchase basis sells them before he had paid all the instalments, the owner can recover the goods from the transferee, on default of payment, in the same way as he could have recovered them from the person to whom they had been given on the hire purchaser basis.

The rule can be demonstrated by the case of **Greenwood v Bennett**. In this case the original owner of a Jaguar car (Bennett) entrusted it to a man named Searle for repairs to be carried out. Searle then used the car for his own purposes, crashed it and caused extensive damage. Searle then sold the car to Harper, who owned a garage, for £75. Harper did not realise that Searle was not the owner of the car. Harper then spent £226 repairing the car and sold it on to a finance company. It was held by the court that the car belonged to Bennett as Searle did not have title and could therefore not transfer that title to Harper. For the same reason, Harper could not transfer title to the finance company. Bennett was therefore able to recover the car but had to compensate Harper for the work done to it.

However, although the nemodat rule in its essential form may be clear, it is not always fair, as it is an innocent party buyer who will suffer, and nor is it necessarily in keeping with the needs of modern commerce and trade. Where goods are in question the buyer may be in a very difficult position. The owner, in voluntarily parting with the possession of the goods, takes upon himself the risk that something might happen to the goods. The owner is in a position to check for himself the creditworthiness of the person to whom he gives possession of the goods and there is an argument that if the owner's trust is in fact ill-founded then he ought not to put the consequences of his own mistaken judgment on to the shoulders of the innocent purchaser. There is no way that the buyer can effectively investigate the title to chattels and if the goods are to move freely in the distribution chain then it is important that buyers are confident in their purchases. Furthermore, goods may be perishable and there is a need for them to be dealt with quickly and efficiently.

Because of the apparent harshness of the nemodat rule, several exceptions to it were developed at common law and also have been added by statute. All of the exceptions will apply only in favour of a person who acquires the goods in good faith and without notice of the rights of the original owner. The common law exceptions are around agency arrangements, estoppel and (previously) market overt.

In India in the case of **Life Insurance Corporation vs United Bank Of India Ltd. And Anr** court held that Under the Indian Law, an actionable claim is no doubt transferable but it is transferable only by the person who has a title to the property in respect of which the claim lies. The position is the same in English law. Nemodat quod non habet, no one gives what he does not possess. If the nominee has no title to the policy money he can neither surrender the policy nor can he transfer by assignment any right, title or interest in the moneys payable under the policy. In the contemplation of the statute, the right of a nominee is a mere right to collect the proceeds of the policy and the right has been given only to

obviate the inconvenience of obtaining representation to the estate of the deceased policy-holder or a succession certificate.

EXCEPTIONS

1. Transfer of Title by Estoppel (Sec 27)

Estoppel means that a person who by his conduct or words leads another to believe that certain state of affairs existed, would be estopped (precluded) from denying later that such a state of affairs did not exist. Sometimes the doctrine of estop or preclude the owner from denying the seller's right to sell the goods and thus an innocent buyer may have a good title despite the want of authority of the seller. When the true owner of goods by his conduct or word or by any act or omission leads the buyer to believe that the seller is the owner of the goods or has the authority to sell them, he cannot afterwards deny the seller's authority to sell.

The closing words of the rule contained in Sec 27 are as under:

Unless the owner of the goods is by his conduct precluded from denying the seller's authority to sell the goods.

The buyer in such case gets a better title than that of the seller. The estoppel may arise in any of the following ways:

1. The owner standing by, when the sale is effected, or
2. Still more, by his assisting the sale, or
3. By permitting goods to go into the possession of another with all the insignia of possession thereof and apparent title, or
4. If he has otherwise acted or made representations so as to induce the buyer to alter his position to his prejudice.

Estoppel arises from;

- a. act or omission – but it should be a legal obligation
- b. Negligence – not mere negligence but it should be in regard to the person.

Estoppel by act or omission: A firm of merchants pledged certain railway receipts with a bank against a loan. Subsequently they took back the receipts for clearing the goods and storing them in the bank's warehouse. But they fraudulently re-pledged the receipts with another bank for another loan. The second bank contented that the first bank should not have returned the receipts without impressing upon them their stamp of pledge. Their omission to do so enabled the merchants to re-pledge the receipts and therefore the first bank should be stopped from denying the validity of the second pledge. But the Privy Council ruled otherwise. The court held that the duty to impress the stamp of pledge was not a legal duty. It was a duty of commercial origin and its omission did not create a legal estoppel.

Estoppel by negligence: Mere carelessness may not create an estoppel, negligence in order to give rise to a defence under this section must be more than mere carelessness on the part of a person in the conduct of his own affairs, and must amount to a disregard of his obligations towards the person who is setting up the defence. In **Conventary Shepherd & Co v. Great Eastern Rly.Co** the defendant carelessly issued two delivery orders relating to the same consignment of goods, thus enabling the person to whom they were issued to obtain an advance from the plaintiff and the defendants were held to be estopped as against him from denying the fact that the goods mentioned in the order were held on behalf of the assignor someone who puts documents of this nature into circulation owes a duty to those into whose hands they may come.

In **Shaw and Another v Metropolitan Police Commissioner** the claimant, wishing to sell his car, permitted a dealer who promised to sell the car to hold possession. The owner furthermore gave the dealer a transfer notification form signed in blank. The claimant had clearly made a representation to the dealer that he should sell the car and therefore would have been estopped from claiming return of the car under **section 21 or 25 of the Sale of Goods Act 1979**(This is English Case) had the contract between the owner and the dealer not stated that title was only to pass at such time as the car was sold, thus rendering the contract a contract to sell the car as opposed to a contract of sale

2. Sale by a Mercantile Agent (Section 27)

If a mercantile agent has an authority to sell the goods and he does so, no difficulty arises because according to the general rule, an agent having the authority to sell them can convey a good title. The difficulty arises when the mercantile agent disposes of the goods without having authority to do so.

Second Para of the section 27 explicitly express about this. Provision is—

Provided that, where a mercantile agent is, with the consent of the owner, in possession of the goods or of a document of title to the goods, any sale made by him, when acting in the ordinary course of business of a mercantile agent, shall be as valid as if he were expressly authorised by the owner of the goods to make the same, provided that the buyer act in good faith and has not at the time of the contract of sale notice that the seller has no authority to sell.

For the application of this proviso, the following conditions are to be satisfied,-

1. That the seller is a mercantile agent as defined in **Sec. 2(9)** of the Act. Section 2(9) states that “Mercantile agent” means a mercantile agent having in the customary course of business as such agent authority either to sell goods, or to consign goods for the purposes of sale, or to buy goods, or to raise money on the security of goods;
2. The said mercantile agent got the possession of the goods or documents of title to the goods with the consent of the owner, and in his capacity as a mercantile agent;
3. While selling the goods he must have been acting in the ordinary course of his business of a Mercantile agent;

4. The buyer of the goods must have acted in good faith without having any notice that such a mercantile agent did not have an authority to sell.

In **Folks v king**, the plaintiff delivered his car to a mercantile agent to sell it for not less than 575 pounds. But the mercantile agent sold it to the defendant for pound 140 and misappropriated the amount. In an action by the plaintiff it was held that the defendant (buyer) had a good title to the goods.

3. Sale by joint owner (Section 28)

If one of several joint owners of goods has the sole possession of them by permission of the co-owners of goods, the property in the goods is transferred to any person who buys them from such joint owner in good faith without notice of the fact that the seller has no authority to sell. It may be noted that in the absence of this provision (i.e., Sec. 28) the buyer would have obtained only the title of the co-owners and would have become merely a co-owner with the other co-owners. Hence the provision constitutes an exception to the rule –“no one can give what he has not got.”

4. Sale by a person in possession under a voidable Contract- (Section 29)

According to **section 19 and 19- A** of the Contract Act, if the consent of a party to the contract has been obtained by coercion, fraud, misrepresentation or undue influence, the contract is voidable at the option of the party whose consent has been so obtained. **Section 29** provides that if a person has obtained the possession of some goods under a contract which is voidable under section 19 or 19 – A of the contract Act and he sells those goods before the contract has been avoided by the party entitled to do so, the buyer of such goods acquire a good title to them. It is, however, necessary that such buyer must have purchased the goods in good faith and without the notice of the seller's defect of title.

This section does not apply to a contract which is void and not voidable, or where the seller has no title at all, for example, he has obtained the goods by theft.

5. Sale by the seller in Possession (Section 30) (1)

If a seller has sold the goods and the property in the goods has passed to the buyer, the seller cannot deal with such goods. If he is still in possession of the goods and deals with them, the buyer can sue him for the tort of conversion, Sec 30 (1), however, provides that if seller having sold the goods is still in possession of the goods or of the documents of title to them, the delivery or transfer of the goods or of the documents of title under any sale, pledge or other disposition thereof by the seller or by a Mercantile agent on his behalf will convey a good title to the buyer provided the buyer has been acting in good faith and he has no notice of the previous sale.

6. Sale by the buyer in Possession – sec 30(2)

This section says that if a buyer has obtained the possession of the goods or the documents of title to them with the consent of the seller, any sale, pledge or other disposition thereof to any person will convey good title and without any notice as regards any lien or other right of the original seller in respect of those goods.

7. Resale by an unpaid seller – Sec 54(3)

According to this section, if an unpaid seller has exercised the right of lien or stoppage in transit and the buyer does not pay him he may resell the goods after a notice to the buyer. If such a notice is not given, the seller is neither entitled to claim from the buyer any loss if the goods bring lower than the contract price nor can he retain the benefit if the goods are sold at a higher price.

8. Sale by finder of goods- (sec 169, Indian Contract Act)

According to **sec 71**, Indian Contract Act, the finder of goods is subject to the same responsibility as the bailee. He is to take due care of goods while they are in his possession and also to return them when their owner has been found. According to **Sec 169 of ICA**, however, if the owner cannot with a reasonable diligence be found or if he refuses upon demand, to pay the lawful charges of the finder, the finder may sell the goods,-

- When the thing is in danger of perishing or of losing the greater part of its value, or
- When the lawful charges of the finder, in respect of the thing found, amount to 2/3 of its value.

9. Sale by Pawnee- sec 176 of Indian contract act

According to this section, if the Pawnor makes a default in the payment of the debt, the Pawnee may either sue him for the debt or may sell the goods pledged on giving the Pawnor reasonable notice of the sale.

Q. Explain Conditions and Warranty

At the time of selling of goods, the seller makes certain statements or representations with a view to induce the buyer to purchase the goods. These statements may form a part of contract of sale and the buyers rely upon them. These representations are called 'stipulation'. When these stipulations are become most important for the formation of a contract of sale is known as 'condition'. Again if these are lesser important for the formation of a contract of sale is, known as 'warranty'.

According to **Section 12 (2) of the Sale of Goods Act**, a condition is a stipulation essential to the main purpose of the contract, the breach of which gives rise to a right to treat the contract as repudiated. There are mainly three essentials of a condition, such as

- I) Condition is essential to the main purpose of the contract.
- II) The cause of non-fulfillment of condition is irreparable damage to the aggrieved party.
- III) As a result of breach of a condition the aggrieved party will get the right to rescind the contract and recover the damages for breach of condition.

According to **Section 12 (3)**, a warranty has a stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for damages but not to a right to reject the goods and treat the contract repudiated.

Like condition, the warranty is to fulfill three essentials, such as- I)

Warranty is collateral to the main purpose of the contract.

II) The breach of warranty does not breach the main purpose of the contract and it causes damages to the aggrieved party.

III) The aggrieved party can only claim damages for breach of warranty.

Example:

P went to Q ask to show a horse which could run at a speed of 35 m.p.h. Q pointed out at a particular horse and said that it will suit his purpose. P bought and discovered that the horse run at a speed of 20 m. p. h. Now, P may reject the horse as the representation made by Q which is the condition of sale is not fulfilled.

Differences between a condition and a warranty:-

i) **Essential of Contract:** - Under Section 12 (2) of the Sale of Goods Act 1930, a condition is defined as a stipulation which is essential to the main purpose of the contract.

On the other hand, warranty is defined under Section 12 (3) as a stipulations that is collateral to the main purpose of the contract.

ii) **Effect on breach:** The breach of condition give rise to a right to treat the contract as repudiated. But the breach of warranty gives rise to the claim for damages but not to a right to reject the goods and treat the contract as repudiated.

iii) **Option of treatment:** In case of condition, a breach of condition can be treated as a breach of warranty as an option on the part of the aggrieved party. But, in case of breach of warranty no such option is essential to the aggrieved party. So the breach of warranty cannot be treated as breach of condition.

Q. Define Auction Sale.

Auction sale is a manner of sales, where property is auctioned usually to the highest bidder by public competition. The auctioneer is an agent of the seller. The auctioneers can auction his own property. In fact there is no need to express that he is selling, so contract is formed between auctioneer and the buyer in case of sale by auction. Some liabilities are incurred by this contract. Of course, all of these

liabilities are not for the seller. Under **Section 64** certain rules are provided regarding auction sale. These are mentioned below-

- i) Auction sale is in lots and every lot is prima facie deemed to be the subject of a separate contract of sale.
- ii) When the auctioneer announces its completion by the fall of the hammer or by other customary manner, then the sale by auction will be complete. iii) It may be reserved as a right to bid expressly by or on behalf of the seller. iv) The seller or other may bid at the auction on behalf of him if the right to bid is so reserved.
- v) It will be not lawful, if sale is not notified to be subject to a right to bid on behalf of the seller for two cases. Firstly, for the seller to bid himself or to employ any person to bid at such sale or secondly, for the auctioneer knowingly to take the bid from the seller or any other such person.
- vi) It should be notified as a sale by auction subject to a reserved or upset price. A reserved price can be fixed by the seller to protect him against “knockout’ agreement. vii) In case of making use of pretended bidding to raise the price by the seller, the sale will be avoidable.

If the auctioneer sells goods then he must take impliedly the following obligations.

- i) Auctioneer warrants his authority to sell.
- ii) Auctioneer warrants that he does not know of any defect in his principal’s title. iii)
Auctioneer gives the possession of the goods against the price paid into his hands.